BOARD REPORT

To the Members,
SEDEMAC Mechatronics Limited
(Formerly SEDEMAC Mechatronics Private Limited)
Mumbai

Your Directors have pleasure in submitting their 17th Annual Report of the Company together with the Audited Statements of Accounts for the year ended 31st March 2024.

FINANCIAL RESULTS / STATE OF COMPANY'S AFFAIRS:

The summarized standalone results of your Company are given in the table below:

(Amt. in Rupees Millions)

Particulars	Financial Year Ended	
	31/03/2024	31/03/2023*
Revenue from Operations	5306.53	4230.28
Other Income	43.53	60.43
Total Income	5350.06	4290.71
Profit/(loss) before Depreciation & Tax	657.57	398.35
Less: Depreciation	316.70	262.56
Profit/(Loss) Before Tax	340.87	135.79
Less: Provision for Income Tax (including for earlier years)	62.50	25.00
Less: Provision for Deferred Tax	--	--
Net Profit/(Loss) After Tax	278.37	110.79
Less: Dividend Distribution (including Interim)	--	--
Less: Amount Transferred to General Reserve	--	--
Profit/(Loss) carried to Balance Sheet	278.37	110.79

Earnings per share:		
Basic (in Rs.)	24,912	10,056
Diluted (in Rs.)	9,883	3,955

** Previous year's Figures have been regrouped / rearranged wherever necessary*

DIVIDEND:

Considering the necessity of conserving resources for the future growth and expansion of the Company, the Board of Directors do not recommend payment of dividend on the Preference and Equity Shares of the Company for the financial year ended 31st March 2024.

CONVERSION OF COMPANY INTO PUBLIC COMPANY:

The Board of Directors are pleased to informed that the Company is in the process of Conversion of Company from Private to Public. The members of the Company approved the conversion of Company from Private to Public at their Extra-Ordinary General Meeting held on 07th June, 2024. The Company has filed application with Ministry of Corporate Affairs (MCA) for conversion. The Company has got approval from ROC for the conversion on dated 02nd Sep 2024.

TRANSFER OF UNCLAIMED AMOUNT TO INVESTOR EDUCATION AND PROTECTION FUND:

Your Company did not have any funds as contemplated under Section 125 of the Act lying unpaid or unclaimed for a period of seven years. Therefore, there were no funds, which were required to be transferred to Investor Education and Protection Fund (IEPF).

MATERIAL CHANGES AND COMMITMENT IF ANY AFFECTING THE FINANCIAL POSITION OF THE COMPANY OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR TO WHICH THESE FINANCIAL STATEMENTS RELATE AND THE DATE OF THE REPORT:

No material changes and commitments affecting the financial position of the Company occurred between the end of the financial year to which these financial statements relate and the date of this report.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS MADE UNDER SECTION 186 OF THE COMPANIES ACT, 2013:

There were no loans, guarantees or investments made by the Company under section 186 of the Companies Act, 2013 during the year under review and hence the disclosures under section 134(3)(g) of the Companies Act, 2013 are not applicable.

PARTICULARS OF CONTRACTS OR ARRANGEMENTS MADE WITH RELATED PARTIES:

All related party transactions that were entered into during the financial year were on arm's length basis and were in the ordinary course of the business. There are no materially significant related party transactions made by the company with Promoters or other designated persons, which may have potential conflict with interest of the company at large required to be reported herein.

SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES:

The Company does not have any Subsidiary, Joint venture or Associate Company and hence no further disclosure is required in this regard.

CHANGE IN THE NATURE OF BUSINESS:

There has been no change in the Nature of Business during the year under review.

DEPOSITS:

Your Company has neither accepted / renewed any deposits during the year nor has any outstanding Deposits in terms of Section 73 to 76 of the Companies Act, 2013.

SHARE CAPITAL:

As on 31st March, 2024, the issued, subscribed and paid up share capital of your Company stood at Rs. 9,77,020/- (Rupees Nine Lacs Seventy-Seven Thousand Twenty Only), comprising 11,212 (Eleven Thousand Two Hundred Twelve) Equity Shares of Rs. 10/- (Rupees Ten only) each, 8,290 (Eight Thousand Two Hundred Ninety) Preference Shares of Rs. 10/- (Rupees Ten only) each, 7,820 (Seven Thousand Eight Hundred Twenty) Preference Share of Rs. 100/- (Rupees One Hundred only) each.

The company has not issued shares with differential voting rights, sweat equity, Bonus Shares. Further, the Company has not bought back any of its securities during the year under review.

The Company has issued 135 Equity Shares under ESOP to eligible employees during the financial year under review.

The details as required under Rule 12(9) of the Companies (Share Capital and Debentures) Rules, 2014 in respect of Employee Stock Option Scheme is given as per **Annexure I** attached herewith.

INTERNAL FINANCIAL CONTROLS:

The internal financial controls with reference to the Financial Statements are commensurate with the size and nature of business of the Company.

DIRECTORS AND KEY MANAGERIAL PERSONNEL AND CHANGES AMONG THEM:

The constitution of the Board remained unaffected during the year under review.

After the closure of financial year under review Mr. Sandeep Singhal and Mr. Paul Robine resigned as a Directors w.e.f. 30.05.2024. Mr. Abhay Pandey and Mr. Bhavya Kapoor were appointed as Additional Directors w.e.f. 30.05.2024. The members reappointed Mr. Abhay

Pandey and Mr. Bhavya Kapoor as Directors at Extra-Ordinary General Meeting held on 31.05.2024.

The Board of Directors have decided to comply with the provisions related to retirement by rotation of Director. Accordingly, Mr. Shashikanth Suryanarayanan, Director of the Company being longest in office, is liable to retire by rotation and being eligible offers himself for reappointment. The Board recommends his reappointment as a Director of the Company.

The provisions of Section 203 of the Companies Act, 2013 relating to Key Managerial Personnel (KMP) are not applicable to the Company.

NUMBER OF BOARD MEETINGS CONDUCTED DURING THE YEAR UNDER REVIEW:

During the financial year under review, the Company had **19 (Nineteen)** Board Meetings on 13.04.2023, 24.04.2023, 04.05.2023, 25.05.2023, 08.06.2023, 21.06.2023, 12.07.2023, 23.08.2023, 04.09.2023, 08.09.2023, 22.09.2023, 12.10.2023, 18.10.2023, 31.10.2023, 24.11.2023, 27.12.2023, 29.01.2024, 28.02.2024 and 22.03.2024. The details of attendance of each Director at the Board Meetings are as follows:

Name of Director	No. of Meeting Attended
Mr. Shashikanth Suryanarayanan	19
Mr. Sandeep Singhal	4
Mr. Paul Robine	3
Mr. Amit Dixit	19

DIRECTORS RESPONSIBILITY STATEMENT:

In accordance with the provisions of Section 134(5) of the Companies Act, 2013 the Board hereby submit its responsibility Statement:

(a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;

(b) the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;

(c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;

(d) the directors had prepared the annual accounts on a going concern basis; and

(e) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

DISCLOSURE IN TERMS OF VARIOUS PROVISIONS OF COMPANIES ACT, 2013:

The following provisions are not applicable to the Company during the financial year under review:

A. Appointment of Independent Director (Section 149),
B. Formation of Audit Committee (Sec. 177),
C. Formation of Nomination and Remuneration Committee (Section 178),
D. Undertaking formal Annual Evaluation of the Board and that of its committees and the Individual Director
E. Undertaking Secretarial Audit (Section 204)

VIGIL MECHANISM:

The Company has established Vigil Mechanism and has Vigil Mechanism in line with the requirements of Section 177 of the Companies Act, 2013 read with Rule 7 of the Companies (Meetings of the Board and its Powers) Rules, 2013

STATEMENT CONCERNING DEVELOPMENT AND IMPLEMENTATION OF RISK MANAGEMENT POLICY OF THE COMPANY:

The Company has in place a mechanism to identify, assess, evaluate, monitor and mitigate various risks to key business objectives.

CORPORATE SOCIAL RESPONSIBILITY (CSR):

The provisions of CSR were applicable to the Company for FY 2023-24. The brief outline of CSR Policy of the Company and other details about the CSR as per the Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 have been appended as **Annexure II** attached to this report. The Company has not constituted CSR Committee as the CSR liability of the Company is less than Rs. 50 Lakhs as stated under Section 135 (9) of the Companies Act, 2013.

STATUTORY AUDITORS:

M/s B S R & Co. LLP, Chartered Accountants, (having Firm Registration No: 101248W / W-100022) were appointed as Statutory Auditors for a period of 5 years in the Annual General Meeting held on 29.12.2020 and shall continue as the Statutory Auditors upto FY 2024-25.

Further, as per the notified section of the Companies (Amendment) Act, 2017, the requirement related to annual ratification of appointment of Auditors by members is dispensed with.

Accordingly, the Statutory Auditors shall continue their term up to the conclusion of the AGM of the Company to be held in the year 2025 without seeking annual ratification from members.

EXPLANATION OR COMMENTS ON QUALIFICATIONS, RESERVATIONS OR ADVERSE REMARKS OR DISCLAIMERS MADE BY THE AUDITORS:

As regards to comments statutory auditors on accounting software without feature of recording audit trail (edit log) facility, the Company has made few changes in the accounting software/ ERP system and is in the process of establishing necessary controls and documentations, regarding audit trail and edit logs.

The other comments by the auditors in their report read along with information and explanation given in notes to accounts are self-explanatory and do not call for further explanation.

COST RECORDS AND COST AUDITORS:

The Company has maintained Cost Records as required under section 148 of the Companies Act, 2013.

The Company has appointed M/s. A. J. Paranjape & Co., Cost Accountants as Cost Auditors of the Company pursuant to the provisions of section 148 of the Companies Act, 2013 read with Rules made there under for the financial year 2023-24 at board meeting held on 12th July, 2023.

SECRETARIAL STANDARD:

The Company has endeavored to comply with the applicable Secretarial Standards to the extent applicable.

DETAILS OF FRAUD:

There were no frauds, which are reported to have been committed by employees or officers of the Company.

DETAILS OF SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNALS IMPACTING THE GOING CONCERN STATUS AND COMPANY'S OPERATIONS IN FUTURE:

There are no material orders passed by the judicial or quasi-Judicial Authority which affects the Going Concern Status of the Company during the year under review.

ANNUAL RETURN:

The Annual Return of the Company is available on the website of the Company and can be accessed at www.sedemac.com.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO:

(A) CONSERVATION OF ENERGY

(i)	Steps taken or impact on conservation of energy	Regular Efforts are made to conserve the energy at all levels. The Company is taking every possible step to conserve energy wherever possible and also organize regular training of employees to achieve the same. Several environment friendly measures were adopted by the Company to conserve energy.
(ii)	Steps taken by the company for utilizing alternate sources of energy	The Company is using electricity as main source of energy. The Company is not required to use any other alternate source of energy.
(iii)	Capital Investment on energy conservation equipment's;	NIL

(B) TECHNOLOGY ABSORPTION:

(i)	the efforts made towards technology absorption:	Assimilation, adaptation and innovation of technology in an expeditious manner is given continuous importance.
(ii)	the benefits derived like product improvement, cost reduction, product development or import substitution;	Wider product applications.
(iii)	in case of imported technology (imported during the last three years reckoned from the beginning of the financial year)-	N.A.
	(a) the details of technology imported;	
	(b) the year of import;	
	(c) whether the technology been fully absorbed;	
	(d) if not fully absorbed, areas where absorption	

has not taken place, and the reasons thereof;		
(iv) the expenditure incurred on Research and Development.	Capital Expenditure Revenue Expenditure Total	Rs. 377.19 Millions Rs. 127.68 Millions **Rs. 504.87 Millions**

(C) FOREIGN EXCHANGE EARNINGS AND OUTGO:

Foreign Exchange Earning: Rs. 299.18 Millions
Foreign Exchange Outgo: Rs. 25.36 Millions
CIF Value of Imports: Rs. 3301.63 Millions

DISCLOSURES AS PER THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013:

There was no instance / complaint reported under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

The Company has constituted the Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and made its endeavor to comply with the provisions of the said law to the extent applicable.

APPLICATIONS UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016:

There were no applications made against the Company under the Insolvency and Bankruptcy Code, 2016 during the year under review. There are no proceedings pending under the Insolvency and Bankruptcy Code, 2016 by / against the Company as on March 31, 2024.

THE DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION:

During the year under review, there were no settlements made by the Company for any loan / borrowing taken from the Banks or Financial Institutions and hence no comment with regard to the details of difference between amount of the valuation done at the time of one-time settlement and the valuation done while taking loan from the Banks or Financial Institutions along with the reasons thereof.

ACKNOWLEDGEMENTS:

Your Directors place on record their sincere thanks to bankers, business associates, consultants, and various Government Authorities for their continued support extended to your Company's activities during the year under review. Your Directors deeply appreciate the committed efforts put in by employees at all levels, whose continued commitment and dedication contributed greatly for achieving the goals set by your Company. Your Directors also acknowledges gratefully the shareholders for their support and confidence reposed on your Company.

Note: All figures are in INR Millions unless otherwise stated.

For and on behalf of the Board of Directors
For SEDEMAC Mechatronics Limited
(Formerly known as SEDEMAC Mechatronics Private Limited)

Director
Shashikanth Suryanarayanan
DIN: 01269904

Director
Amit Dixit
DIN: 01288169

Date: 4th September 2024
Place: Lisbon

Date: 4th September 2024
Place: Pune

Annexure I

Details as required under Rule 12(9) of the Companies (Share Capital and Debentures) Rules, 2014 in respect of Employee Stock Option Scheme

The Company instituted the ESOP 2014 w.e.f. 01.04.2014. The objective of ESOP 2014 is to reward the employees for their past association and performance as well as to motivate them to contribute to the growth and profitability of the Company. The Company amended ESOP Plan by passing shareholders resolution in Annual General Meeting held on 29.12.2020.

The following table sets forth the particulars of the options granted under ESOP 2014:

Sr. No.	Particulars	Remarks
1	Options Granted (during the year)	60
2	Options Vested (during the year)	146
3	Options exercised (during the year)	135
4	Total number of shares arising as a result of exercise of option	135
5	Options lapsed / forfeited / cancelled	01
6	The exercise price	Ranging from Rs. 10 to Rs. 2,29,600 as per Option Grant Letters
7	Variation of terms of options	N.A.
8	Money realized by exercise of options	Rs. 1,12,39,504/- (including Premium)
9	Total number of options in force (as on end of the year)	879
10	Employee wise details of options granted to: (i) key managerial personnel (ii) any other employee who receives a grant of options in any one year of option amounting to five percent or more of options granted during that year;	(i) N.A (ii) Suresh Walunj - 05 Options, Mahesh Kotagi - 05 Options, Indrajeet Mohite - 10 Options, Neel Shah - 06 options, Prathamesh Mahalle – 10 Options, Sudeep Solanki – 12 Options, Aarti Bhardwaj – 12 Options

	(iii) identified employees who were granted option, during any one year, equal to or exceeding one percent of the issued capital (excluding outstanding warrants and conversions) of the company at the time of grant;	(iii) N.A.

For and on behalf of the Board of Directors
For SEDEMAC Mechatronics Limited
(Formerly known as SEDEMAC Mechatronics Private Limited)

Director
Shashikanth Suryanarayanan
DIN: 01269904

Director
Amit Dixit
DIN: 01288169

Date: 4th September 2024
Place: Lisbon

Date: 4th September 2024
Place: Pune

Annexure – II

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES

1. **Brief outline on CSR Policy of the Company:**

"SEDEMAC Mechatronics Limited" is vigilant in its enforcement towards corporate principles, which the Government of India has mandated through Companies (Corporate Social Responsibility) Policy, 2014 and is committed towards sustainable development. The Board has framed a Corporate Social Responsibility Policy ("CSR Policy") in compliance with Section 135 of the Companies Act, 2013 (the Act) read with the Companies (Corporate Social Responsibility Policy), Rules 2014 (the CSR Rules).

2. **Composition of CSR Committee:**

Sl. No.	Name of Director	Designation/ Nature of Directorship	Number of Meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
Not Applicable*				

**Company is not required to constitute CSR Committee under Section 135(9) of Companies Act, 2013 as the CSR liability of the Company is less than Rs. 50 Lakhs.*

3. **Provide the web-link(s) where Composition of CSR Committee, CSR Policy and CSR Projects approved by the board are disclosed on the website of the company:**

CSR Policy and CSR Projects are available on the Company's website on www.sedemac.com.

4. **Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable:**

The requirement of carrying out the Impact assessment of CSR projects in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, is not applicable to the company.

5.

a. **Average net profit of the company as per sub-section (5) of section 135:** Rs. 8,92,38,729/-

b. **Two percent of average net profit of the company as per sub-section (5) of section 135:** Rs. 17,84,775/-

c. **Surplus arising out of the CSR Projects or programmes or activities of the previous financial years:** Not Applicable

d. **Amount required to be set-off for the financial year, if any:** Rs. NIL

e. **Total CSR obligation for the financial year [(b)+(c)-(d)]:** Rs. 17,84,775/-

6.

a. **Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project):** Rs. 18,00,000/-

b. **Amount spent in Administrative Overheads:** NIL

c. **Amount spent on Impact Assessment, if applicable:** NIL

d. **Total amount spent for the Financial Year [(a)+(b) +(c)]:** Rs.18,00,000/-

e. **CSR amount spent or unspent for the Financial Year:**

Total Amount Spent for the Financial Year. (in Rs.)	Amount Unspent (in Rs.)				
	Total Amount transferred to Unspent CSR Account as per subsection (6) of section 135		Amount transferred to any fund specified under Schedule VII as per second proviso to sub-section (5) of section 135.		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
18,00,000/-	NIL	Not Applicable	Not Applicable	NIL	Not Applicable

f. **Excess amount for set-off, if any:**

Sl. No.	Particular	Amount (in Rs.)
(1)	(2)	(3)
(i)	Two percent of average net profit of the company as per sub-section (5) of section135	17,84,775/-
(ii)	Total amount spent for the Financial Year	18,00,000/-
(iii)	Excess amount spent for the Financial Year [(ii)-(i)]	15,225/-

(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous Financial Years, if any	NIL
(v)	Amount available for set off in succeeding Financial Years [(iii)-(iv)]	15,225/-

7. **Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years:**

1	2	3	4	5	6		7	8
Sl. No.	**Preceding Financial Year(s)**	**Amount transferred to Unspent CSR Account under subsection (6) of section 135 (In Rs.)**	**Balance Amount in Unspent CSR Account under subsection (6) of section 135 (In Rs.)**	**Amount Spent in the Financial Year (in Rs)**	**Amount transferred to a Fund as specified under Schedule VII as per second proviso to subsection (5) of section 135, if any**		**Amount remaining to be spent in succeeding Financial Years (In Rs)**	**Deficiency, if any**
					Amount (in Rs)	**Date of Transfer**		
1	2022-23	Not Applicable						
2	2021-22							
3	2020-21							

8. **Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year:**

The company has not created or acquired Capital assets through Corporate Social Responsibility amount spent in the Financial Year.

If Yes, enter the number of Capital assets created/ acquired: Not Applicable

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

Sl. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the Property or asset(s)	Date of Creation	Amount of CSR Amount spent	Details of entity/ Authority/ beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number, if applicable	Name	Registered address

(All the fields should be captured as appearing in the revenue record, flat no, house no, Municipal Office/Municipal Corporation/ Gram panchayat are to be specified and also the area of the immovable property as well as boundaries)

9. **Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per subsection (5) of section 135:**

Not Applicable

Details of CSR Expenditure are as follows:

(1)	(2)	(3)	(4)	(5)		(7)	(10)	(11)	
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act.	Local area (Yes/ No)	Location of the project.		Amount spent for the project (in Rs.).	Mode of Impleme ntation - Direct (Yes/No).	Mode of Implementation - Through Implementing Agency	
				State	District			Name	CSR Registratio n number.
1	Education and Nutrition	(i) & (ii)	No	Mahara shtra	Pune	3,00,000	No	Tara Mobile Creches, Pune CSR00006166	
2	Afforestation and Education / recreation activities for kids	(iv) and (ii)	No	Tamilna du	Tiruvan namalai	4,50,000	No	The Forest Way Trust CSR00021290	
3	Nutrition and Health project	(i)	No	Mahara shtra	Thane	4,00,000	No	We Together Foundation CSR00034192	
4	Care & Welfare of special Persons and Rural Development Project	(x) and (ii)	No	Mahara shtra	Pune	3,00,000	No	Sadhana Village, Pune CSR00003002	
5	Rehabiliation	(xii)	No	Mahara shtra	Pune	3,50,000	No	Anamprem CSR00025727	
	TOTAL					**18,00,000**			

For and on behalf of the Board of Directors
For SEDEMAC Mechatronics Limited
(Formerly known as SEDEMAC Mechatronics Private Limited)

S. Shashikanth

Director
Shashikanth Suryanarayanan
DIN: 01269904
Date: 4th September 2024
Place: Lisbon

Director
Amit Dixit
DIN: 01288169
Date: 4th September 2024
Place: Pune

SEDEMAC MECHATRONICS LIMITED

SEDEMAC™

MECHATRONICS LIMITED

(FORMERLY KNOWN AS SEDEMAC MECHATRONICS PRIVATE LIMITED)

FINANCIAL STATEMENTS 2023 - 24

B S R & Co. LLP
Chartered Accountants

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36/3-B, Koregaon Park Annex
Mundhwa Road, Ghorpadi
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Independent Auditor's Report

To the Members of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) (the "Company") which comprise the balance sheet as at 31 March 2024, and the statement of profit and loss and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2024 and its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.

Management's and Board of Directors' Responsibilities for the Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the state of affairs, profit/ loss and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our

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knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

c. The balance sheet, the statement of profit and loss and the statement of cash flows dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act.

e. On the basis of the written representations received from the directors as on 31 March 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2024 from being appointed as a director in terms of Section 164(2) of the Act.

f. the modification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company does not have any pending litigations which would impact its financial position.

b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 48(e) to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 48(f) to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The Company has neither declared nor paid any dividend during the year.

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f Based on our examination which included test checks, the Company has used an accounting software for maintaining its books of account which does not have the feature of recording audit trail (edit log) facility. Consequently, we are unable to comment on audit trail feature of the said software.

C With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.: 101248W/W-100022

Sanjiv Khilnani

Partner

Membership No.: 122613

ICAI UDIN 24122613BKOBBP6411

Place: Pune

Date: 04 September 2024

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner every year. In accordance with this programme, all property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory, except goods-in-transit and stocks lying with third parties, has been physically verified by the management during the year.For stocks lying with third parties at the year-end, written confirmations have been obtained and for goods-in-transit subsequent evidence of receipts has been linked with inventory records. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company.

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments, provided guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or any other parties during the year. Accordingly, provisions of clauses 3(iii)(a) to 3(iii)(f) of the Order are not applicable to the Company.

(iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company has neither made any investments nor has it given loans or provided guarantee or security and therefore the relevant provisions of Sections 185 and 186 of the Companies Act, 2013 ("the Act") are not applicable to the Company. Accordingly, clause 3(iv) of the Order is not applicable.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from

B S R & Co. LLP Chartered Accountants

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) We have broadly reviewed the books of accounts maintained by the Company pursuant to the rules prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Act in respect of its manufactured goods and services provided by it and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. However, we have not carried out a detailed examination of the records with a view to determine whether these are accurate or complete.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues have been generally regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2024 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no statutory dues relating to Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues, which have not been deposited with the appropriate authorities on account of any dispute.

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, term loans were applied for the purpose for which the loans were obtained.

(d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2024. Accordingly, clause 3(ix)(e) is not applicable.

(f) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2024. Accordingly, clause 3(ix)(f) is not applicable.

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the course of the audit.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) The Company is a private limited company and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) The Company is not part of any group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Sanjiv Khilnani

Partner

Place: Pune

Membership No.: 122613

Date: 04 September 2024

ICAI UDIN 24122613BKDBBP5411

Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024

Report on the internal financial controls with reference to the aforesaid financial statements under Clause (I) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) ("the Company") as of 31 March 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2024, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

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Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Limited (formerly known as Sedemac Mechatronics Private Limited) for the year ended 31 March 2024 *(Continued)*

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For B S R & Co. LLP

Chartered Accountants

Firm's Registration No.: 101248W/W-100022

Sanjiv Khilnani

Partner

Place: Pune

Membership No.: 122613

Date: 04 September 2024

ICAI UDIN: 24122613BKDBBP5411

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

Balance Sheet as at 31 March 2024

(Amounts in INR Mn, unless otherwise stated)

	Note	31 March 2024	31 March 2023
EQUITY AND LIABILITIES			
Shareholders' funds			
Share capital	3	0.96	0.96
Reserves and surplus	4	1,613.80	1,283.22
		1,614.76	1,284.18
Non-current liabilities			
Long term borrowings	5	425.98	351.16
Other long term liabilities	6	17.83	13.90
Long term provisions	7	44.42	36.29
		488.23	401.35
Current liabilities			
Short term borrowings	8	530.36	450.33
Trade payables	9		
(A) Total outstanding dues of micro enterprises and small enterprises		28.80	20.68
(B) Total outstanding dues of creditors other than micro enterprise and small enterprise		738.53	644.20
Other current liabilities	10	230.23	104.85
Short term provisions	11	10.74	9.82
		1,538.66	1,229.88
TOTAL		3,641.65	2,915.41
ASSETS			
Non-current assets			
Property, Plant and Equipment and Intangible Assets			
(i) Property, plant and equipment	12A	525.98	614.37
(ii) Intangible fixed assets	13A	507.30	521.29
(iii) Capital work-in-progress	12B	31.71	25.27
(iv) Intangible assets under development	13B	586.63	413.04
Long term loans and advances	15	32.99	71.80
Other non-current assets	16	52.21	53.78
		2,036.82	1,699.55
Current assets			
Inventories	17	1,176.49	901.93
Trade receivables	18	272.91	153.79
Cash and bank balances	19	73.14	84.04
Short term loans and advances	20	73.80	55.86
Other current assets	21	8.49	20.24
		1,604.83	1,215.86
TOTAL		3,641.65	2,915.41
Summary of significant accounting policies	2		
Notes to the financial statements	3-48		

The notes referred to above form an integral part of the financial statements

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No : 122613
ICAI UDIN 24122613BKDBBP6411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
SEDEMAC MECHATRONICS LIMITED
(Formerly know as SEDEMAC Mechatronics Private Limited)
(CIN U29253MH2007PLC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904
Place: Lisbon
Date 04 September 2024

Amit Dixit
Director
DIN: 01288169
Place: Pune
Date: 04 September 2024

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

Statement of Profit and Loss for the year ended 31 March 2024

(Amounts in INR Mn. unless otherwise stated)

	Note	31 March 2024	31 March 2023
Revenue from operations	22		
Sale of products		5,230.26	4,145.90
Sale of services		83.91	75.69
Other operating revenue		12.37	8.69
Total		5,306.53	4,230.28
Other income	23	43.53	60.43
Total income		5,350.06	4,290.71
Expenses			
Cost of materials consumed	24	3,667.74	3,039.60
Changes in inventories of finished goods and work-in-progress	25	(37.59)	(8.31)
Employee benefits expense	26	431.98	327.57
Finance costs	27	115.91	90.08
Depreciation and amortization expense	28	318.70	282.56
Other expenses	29	514.48	441.42
Total expenses		5,009.19	4,154.92
Profit before tax		340.87	135.79
Tax expense			
Current tax		62.50	25.00
Deferred tax		-	-
Profit for the year		278.37	110.79
Earnings per equity share (nominal value of share ₹ 10 (Previous year : ₹ 10))			
Earning per Share (₹)	30		
-Basic		24,812	10,056
-Diluted		9,863	3,955
Summary of significant accounting policies	2		
Notes to the financial statements	3-48		

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No : 122613
ICAI UDIN : 24122613BKDBBP6411
Place Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
SEDEMAC MECHATRONICS LIMITED
(Formerly know as SEDEMAC Mechatronics Private Limited)
(C N U29253MH2007PLC172479)

Shashikanth Suryanarayanan
Director
DIN 01269904
Place: Lisbon
Date: 04 September 2024

Amit Dixit
Director
DIN: 01288169
Place: Pune
Date: 04 September 2024

Cash Flow Statement for the year ended 31 March 2024

(Amounts in INR Mn, unless otherwise stated)

		31 March 2024	31 March 2023
A	**Cash flow from operating activities**		
	Net Profit before tax	**340.87**	135.79
	Adjustments:		
	Depreciation and amortization	316.70	262.56
	Impairment of asset	10.75	0.18
	Loss on sale of fixed assets	3.28	0.15
	Interest income	(2.92)	(4.26)
	Provision for employee stock options scheme	16.16	25.08
	Unrealised exchange loss (net)	1.97	-
	Finance costs	115.91	90.08
	Operating profit before working capital changes	**802.72**	510.18
	Movement in working capital:		
	(Increase) / Decrease in trade receivables	(119.09)	7.21
	(Increase) / Decrease in inventory	(274.56)	8.77
	Decrease / (Increase) in other current assets	11.75	(4.24)
	Decrease / (Increase) in other non-current assets	2.33	(10.93)
	(Increase) in short-term loans and advances	(18.59)	(21.57)
	Increase in trade payables	100.39	220.81
	Increase in other current liabilities	135.84	26.60
	Increase in long-term provisions	6.13	4.29
	Increase in short-term provisions	0.92	3.02
	Increase / (Decrease) in other long term liabilities	3.93	(2.70)
	Cash generated from operations	**653.83**	741.44
	Direct taxes paid (net of refund)	59.92	10.49
	Net cash flow generated from operating activities	**593.91**	730.95
B	**Cash flow (used in) / generated from investing activities**		
	Purchase of property, plant and equipment	(383.09)	(291.56)
	Sale proceeds from Sale of property, plant and equipment	2.36	1.09
	Additions to the intangible fixed assets	(303.31)	(264.49)
	Interest received	3.57	9.87
	Fixed Deposits (made under lien)		(19.81)
	Deposits Matured during the year	13.10	58.97
	Government grant received	24.81	-
	Net cash (used) in investing activities	**(642.56)**	(525.04)

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Chartered Accountants
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SEDEMAC MECHATRONICS LIMITED

SEDEMAC MECHATRONICS LIMITED

(Formerly known as SEDEMAC Mechatronics Private Limited)

Cash Flow Statement for the year ended 31 March 2024(Contd.)

(Amounts in INR Mn, unless otherwise stated)

C	**Cash flow (used in) / generated from financing activities**		
	Proceeds from issue of equity shares	11.24	4.05
	Term loans received during the year	323.47	184.43
	Term loans repaid during the year	(249.22)	(138.21)
	Short-term borrowings received/(repaid) during the year	79.60	(141.83)
	Interest (finance cost) paid	(114.48)	(90.00)
	Net cash generated from / (used in) financing activities	**51.61**	(181.56)
	Net increase in cash and cash equivalents (A+B+C)	**2.96**	23.45
	Cash and cash equivalents at the beginning of the year	**32.15**	8.70
	Cash and cash equivalents at the end of the year (Refer note no. 19)	**35.11**	32.15

	Notes to cash flow statement			
1	Components of cash and cash equivalents	**31 March 2024**	31 March 2023	31 March 2022
	Cash in hand	**0.02**	-	-
	Balances with banks			
	- On current accounts	**35.09**	32.15	8.70
		35.11	32.15	8.70

2 The cash flow has been prepared under the 'Indirect method' as set out in Accounting Standard (AS) 3 - "Cash Flow Statement".

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No : 122613
ICAI UDIN 24122613BKDBBP6411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
SEDEMAC MECHATRONICS LIMITED
(Formerly know as SEDEMAC Mechatronics Private Limited)
(CIN U29253MH2007PLC172479)

Shashikanth Suryanarayanan
Director
DIN 01269904
Place: Lisbon
Date 04 September 2024

Amit Dixit
Director
DIN: 01288169
Place. Pune
Date 04 September 2024

Notes to financial statements for the year ended 31 March 2024

1 Company Overview

The Company is primarily engaged in the business of development, manufacture and supply of innovative controllers/ECUs. SEDEMAC is a global supplier of high-volume critical controllers/ECUs having novel motor engine, supervisory and other control technologies, developed in-house. The Company is operating in the various business segments, namely power generators, automotive, powered equipment, electric vehicles and electric bikes etc. The Company is having well equipped R&D Centre and the world class manufacturing plants. The Company is the key supplier to various established automotive & off highway industry players locally & globally.

SEDEMAC Mechatronics was incorporated under the Companies Act, 1956 as a private company. Subsequent to the balance sheet date, the company has received approval for conversion of private company into a public company. As per the certificate of incorporation issued by Ministry of Company Affairs on 2nd September 2024, the company's name is changed to 'SEDEMAC Mechatronics Limited'.

2 Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements.

2.1 Basis of preparation of financial statements

These financial statements have been prepared in accordance with the generally accepted accounting principles in India under historical cost convention on accrual basis. The Company has prepared these financial statements to comply in all material respects with the applicable accounting standards specified under section 133 of the Companies Act, 2013. The financial statements are presented in Indian rupees in Millions unless otherwise stated.

2.2 Use of estimates

The preparation of financial statements in conformity with Generally Accepted Accounting Principles (GAAP) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities on the date of the financial statements. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Any revision to accounting estimates is recognised prospectively in current and future periods.

2.3 Current–non-current classification

All assets and liabilities are classified into current and non current.

Assets

An asset is classified as current when it satisfies any of the following criteria:

a. it is expected to be realised in, or is intended for sale or consumption in, the Company's normal operating cycle,

b. it is held primarily for the purpose of being traded

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SEDEMAC MECHATRONICS LIMITED

c. it is expected to be realised within 12 months after the reporting date, or

d. it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date

e. current assets include the current portion of non-current financial assets. All other assets are classified as non current.

Liabilities

A liability is classified as current when it satisfies any of the following criteria:

a. it is expected to be settled in the Company's normal operating cycle

b. it is held primarily for the purpose of being traded;

c. it is due to be settled within 12 months after the reporting date, or

d. the Company does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification

e. current liabilities include current portion of non-current financial liabilities. All other liabilities are classified as non-current

Operating cycle

Operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. The Company's normal operating cycle is considered as 12 months for the purpose of current and non-current classification of assets and liabilities

2.4 Fixed assets and Depreciation/ Amortization

Property, plant and equipment

Property, plant and equipment are carried at cost of acquisition or construction less accumulated depreciation and/or accumulated impairment loss, if any. The cost of an item of property, plant and equipment comprises its purchase price, including import duties and other non-refundable taxes or levies and any directly attributable cost of bringing the asset to its working condition for its intended use; any trade discounts and rebates are deducted in arriving at the purchase price

Subsequent expenditures related to an item of property, plant and equipment are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

Exchange differences pertaining to long term foreign currency monetary items that are related to acquisition of depreciable assets are recognised as an expense in the Statement of Profit and Loss

Permanent improvements to leasehold property are depreciated over the lease term or useful life whichever is shorter

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

Depreciation

Depreciation is provided on written down value method based on useful life prescribed in Schedule II to the Companies Act, 2013 as given below.

Assets	Useful lives
Computers	3 years
Plant and equipment	15 years
Furniture and fixtures	10 years
Vehicles	8 years
Office equipment	5 years

Property, plant and equipment is eliminated from the financial statements on disposal or when no further benefit is expected from its use and disposal. Losses arising from retirement or gains or losses arising from disposal of fixed assets which are carried at cost are recognised in the Statement of Profit and Loss.

Intangible fixed assets

(i) Acquired intangible assets representing computer software is recorded at its acquisition price and is amortized over its estimated useful life on a straight line basis commencing from the date the asset is available for its use. The management has estimated the useful life for such software as five years. The useful life of the asset is reviewed by the management at each Balance Sheet date. After initial recognition, an intangible asset is carried at its cost less any accumulated amortization and any accumulated impairment loss

(ii) Internally generated intangible assets :

- Expenditure on research activities, undertaken with the prospect of gaining new scientific or technical knowledge and understanding, is recognised in the Statement of Profit and Loss as incurred.
- Development activities involve a plan or design for the production of new or substantially improved products or processes. Development expenditure is capitalised only if developments costs can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete development and to use the asset. The expenditure capitalised includes the cost of the materials, direct labour, overhead costs that are directly attributable to preparing the asset for its intended use. The management has estimated the useful life for such intangible assets as five years

(iii) Subsequent expenditure :

Subsequent expenditure is capitalised only when it increases the future economic benefits from the specific asset to which it relates. An intangible asset is derecognized on disposal or when no future economic benefits are expected from its use and disposal. Losses arising from retirement and gains or losses arising from disposal of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss.

2.5 Impairment of Assets

In accordance with Accounting Standard (AS 28) - Impairment of Assets, the carrying amounts of the Company's assets including intangible assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indications exist, the assets recoverable amount is estimated as the higher of the net selling price and the value in use. An impairment loss is recognised whenever the carrying amount of an asset or its cash generating units exceeds its recoverable amount. If at the Balance Sheet date, there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is assessed at the recoverable amount subject to a maximum of depreciable historical cost.

2.6 Operating lease

"Assets acquired under leases other than finance leases are classified as operating leases. The total lease rentals (including scheduled rental increases) in respect of an asset taken on operating lease are charged to the Statement of Profit and Loss on a straight line basis over the lease term."

2.7 Inventories

"Inventories which comprise raw materials, work-in-progress and finished goods are carried at the lower of cost and net realisable value. Cost of inventories comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

In determining the cost, 'first in first out method' is used. In the case of manufactured inventories and work in progress, cost includes fixed production overheads. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products. Raw materials and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis."

2.8 Employee Benefits

a) Short term employee benefits

Employee benefits payable wholly within twelve months of receiving employee services are classified as short-term employee benefits. These benefits include salaries and wages, bonus and ex-gratia. The undiscounted amount of short-term employee benefits to be paid in exchange for employee services is recognised as an expense as the related service is rendered by employees.

b) Post employment benefits (defined benefit plans)

The employees' gratuity scheme is a defined benefit plan. The present value of the obligation under such defined benefit plans is determined at each Balance Sheet date based on an actuarial valuation carried out by an independent actuary using the projected unit credit method. Actuarial gains and losses and past service costs are recognised immediately in the Profit and Loss Account.

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

c) Post employment benefits (defined contribution plans)

A defined contribution plan is a post-employment benefit plan under which an entity pays specified contributions to a separate entity and has no obligation to pay any further amounts. The Company makes specified monthly contributions towards employee provident fund to Government administered provident fund scheme which is a defined contribution plan. The Company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

d) Long term employee benefits

Long term employee benefits comprise compensated absences. These are measured based on an actuarial valuation carried out by an independent actuary using the projected unit credit method at each Balance Sheet date. Actuarial gains and losses and past service costs are recognised immediately in the Statement of Profit and Loss.

2.9 Revenue Recognition

Revenue from sale of goods in the course of ordinary activities is recognised when property in the goods or all significant risks and rewards of their ownership are transferred to the customer and no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods and regarding its collection.

Royalty Income is recognized on the basis of number of units manufactured by the ultimate customer to whom products have been offered on royalty per unit basis.

Service Income is recognised on the completion of such services.

Interest income is recognised on time proportion base taking into account the amount outstanding and the rate applicable.

2.10 Foreign Currency Transactions

Foreign currency transactions are recorded at the rate of exchange prevailing on the date of the respective transactions. Monetary foreign currency assets and liabilities remaining unsettled at the Balance Sheet date are translated at the rates of exchange prevailing on that date.

Gains / losses arising on account of realisation / settlement of foreign exchange transactions and on translation of foreign currency assets and liabilities are recognised in the Statement of Profit and Loss.

2.11 Provisions

A provision is recognised if, as a result of a past event, the Company has a present obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are recognised at the best estimate of the expenditure required to settle the present obligation at the balance sheet date. The provisions are measured on an undiscounted basis.

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SEDEMAC MECHATRONICS LIMITED

2.12 Contingent liabilities and contingent assets

A contingent liability exists when there is a possible but not probable obligation, or a present obligation that may, but probably will not, require an outflow of resources, or a present obligation whose amount cannot be estimated reliably. Contingent liabilities do not warrant provisions, but are disclosed unless the possibility of outflow of resources is remote. Contingent assets are neither recognised nor disclosed in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

2.13 Income taxes

Income tax expense comprises current tax (i.e. amount of tax for the period determined in accordance with the income-tax law) and deferred tax charge or credit (reflecting the tax effects of timing differences between accounting income and taxable income for the period).

The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the Balance Sheet date.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that the assets can be realised in future; however where there is unabsorbed depreciation or carried forward losses under taxation laws, deferred tax assets are recognised only if there is a virtual certainty of realisation of such assets. Deferred tax assets are reviewed at each Balance Sheet date and written down or written-up to reflect the amount that is reasonably / virtually certain (as the case may be) to be realised.

Minimum Alternative Tax ('MAT') under the provisions of the Income-tax Act, 1961 is recognized as current tax in the Statement of Profit and Loss. The credit available under the Act in respect of MAT paid is recognized as an asset only when and to the extent there is convincing evidence that the company will pay normal income tax during the period for which the MAT credit can be carried forward for set-off against the normal tax liability.

2.14 Earnings per share (EPS)

The basic earnings per share is computed by dividing the Profit after tax attributable to the equity shareholders for the year by the weighted average number of equity shares outstanding during the reporting period.

2.15 Employee Stock Option schemes

The fair value of options as computed according to Black Scholes models, at the grant date is regarded as employee compensation, and recognised on a straight-line basis over the graded vesting period in which the employee would become unconditionally entitled to apply for shares.

2.16 Borrowing Cost

Borrowing Costs directly attributable towards product development that takes substantial period of time to complete are capitalised as a part of product development under intangible assets. All other borrowing costs are expensed in the period in which they occurred. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

Notes to financial statements for the year ended 31 March 2024 (Contd.)

2.17 Accounting for Government Grant

As per AS 12 - Grants from the government are recognised where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions.

During the current year, the company has established its right to receive the grant INR 13.78 Mn under the 'Industrial Promotion Subsidy 2016 (IPS 2016)' under Electronic Policy of the Government of Maharashtra. Since the grant is received on compliances of conditions attached with the policy, the grant is treated as other income as per paragraph 9.1 of AS 12.

During the current year, the company has also established its right to receive the grant under the 'Modified Incentive Package Scheme (M-SIPS)', for the capital investment of 24.81 Mn. Since the grant is w.r.t. the total investment, by way of contribution towards its total capital outlay and no repayment is expected, the grants are treated as capital reserve as per paragraph 10.1 of AS 12.

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

3 Share Capital (Also read note no 46)

	31 March 2024	31 March 2023
Authorised		
Equity Shares		
11,900 (Previous year: 11,900) equity shares of ₹ 10 each	0.12	0.12
Total	0.12	0.12
Preference Shares		
5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	0.05	0.05
3,200 (Previous year: 3,200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	0.03	0.03
1,400 (Previous year: 1,400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.14	0.14
700 (Previous year: 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.07	0.07
770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.08	0.08
800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.08	0.08
3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.33	0.33
1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	0.10	0.10
Total	0.88	0.88
Grand Total	1.00	1.00
Issued, subscribed and paid-up		
Equity Shares		
11,212 (Previous year: 11,077) equity shares of ₹ 10 each fully paid up	0.11	0.11
Total	0.11	0.11
Preference Shares		
5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up	0.05	0.05
3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up	0.03	0.03
1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up	0.13	0.13
648 (Previous year: 648) 0.001% Series D CCPS of ₹ 100 each fully paid up	0.06	0.06
762 (Previous year: 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up	0.08	0.08
797 (Previous year: 797) 0.001% Series E CCPS of ₹ 100 each fully paid up	0.08	0.08
3,247 (Previous Year: 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up	0.32	0.32
1,023 (Previous Year: 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up	0.10	0.10
Total	0.85	0.85
Grand Total	0.96	0.96

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(a) Reconciliation of shares outstanding at the beginning and at the end of the reporting period

	31 March 2024		31 March 2023	
	Numbers in absolute	Amount	Numbers in absolute	Amount
Equity Shares:				
At the commencement of the year	**11,077**	**0.11**	10,986	0.11
Shares issued during the year *	**135**	**0.00**	91	0.00
At the end of the year	**11,212**	**0.11**	11,077	0.11
*Amounts disclosed as 0.00 are below the disclosure thresholds of the company				
CCPS:				
Series A-CCPS				
At the commencement and at the end of the year	**5,179**	**0.05**	5,179	0.05
Series B-CCPS				
At the commencement and at the end of the year	**3,111**	**0.03**	3,111	0.03
Series C-CCPS				
At the commencement and at the end of the year	**1,343**	**0.13**	1,343	0.13
Series D-CCPS				
At the commencement and at the end of the year	**648**	**0.06**	648	0.06
Series D1-CCPS				
At the commencement and at the end of the year	**762**	**0.08**	762	0.08
Series E-CCPS				
At the commencement and at the end of the year	**797**	**0.08**	797	0.08
Series E1-CCPS				
At the commencement and at the end of the year	**3,247**	**0.32**	3,247	0.32
Series F-CCPS				
At the commencement and at the end of the year	**1,023**	**0.10**	1,023	0.10

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(b) Rights, preferences and restrictions attached to equity shares

The Company has a single class of equity shares. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders. The voting rights of an equity shareholder on a poll are in proportion to its share of the paid-up equity capital of the Company. On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held.

(c) Rights, preferences and restrictions attached to preference shares

0.001% Series A Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series B Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series C, 0.001% Series D and 0.001% Series D1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series C and D1 - one equity share of ₹ 10 each

Series D - 0.88 equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series E, and 0.001% Series E1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series E - 0.86 equity share of ₹ 10 each

Series E1 - one equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series F Compulsory Convertible preference shares is convertible as follows.

Series F - one equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013."

Rights of preference share holders

As per the Investors Right Agreement dated 22nd May 2019 , "the agreement", as regards to Series A, B, C, D, D1, E, E1, F CCPS, the Company shall endeavour to complete either a Qualified Initial Public Offering or a Strategic Sale by 01 October, 2022 or Strat-Fin Exit by 01 October 23. The preference shareholders of the Company have not exercised this right till the balance sheet date.

Subsequent to the balance sheet date , as per the Shareholder Agreement dated 26th April 2024, the existing investors of series A,B,C,D,D1, E, have transferred their CCPS fully and existing investors of series E1 have transferred their CCPS partially to the new investors on 30 May 2024.

Subsequently, on 31 May 2024, the company has converted all series of preference shares into equity as per the conversion ratio.

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(d) Particulars of shareholders holding more than 5% shares of a class of shares

	31 March 2024		31 March 2023	
	Number	% of total shares in the class	Number	% of total shares in the class
Equity shares of ₹ 10 each fully paid up held by-				
Shashikanth Suryanarayanan	4,800	42.81%	4,800	43.33%
Amit Dixit	908	8.10%	908	8.20%
Manish Sharma	592	5.28%	592	5.34%
Mallika Iyer	1,120	9.99%	1,120	10.11%
Pushkaraj Pansa	583	5.20%	578	5.22%
Mortane Ventures	883	7.88%	883	7.97%
Series A-CCPS of ₹ 10 each fully paid up held by-				
Nexus India Ventures Investments	5,179	100%	5,179	100%
Series B-CCPS of ₹ 10 each fully paid up held by-				
TR Capital III Mauritius	1,947	62.58%	1,947	62.58%
Nexus India Ventures Investments	1,164	37.42%	1,164	37.42%
Series C- CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	767	57.11%	767	57.11%
TR Capital III Mauritius	576	42.89%	576	42.89%
Series D-CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	648	100%	648	100%
Series D1- CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	762	100%	762	100%
Series E- CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	797	100%	797	100%
Series E1- CCPS of ₹ 100 each fully paid up held by-				
Entrust Family Office Legal And Trusteeship Services Private Limited	3,247	100%	3,247	100%
Series F- CCPS of ₹ 100 each fully paid up held by-				
Iron Pillar Fund I Ltd	644	63%	644	63%
Iron Pillar India Fund	379	37%	379	37%

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

(d) a) Shares held by Promoters at the end of the year 31-03-2024

Sr. No	Promoter's Name	Class of Shares	No. of Shares	% of total Shares	% Change during the year
1	Mr. Shashikanth Suryanarayanan	Equity Shares	4,800	42.81%	0.00%
2	Mr. Amit Dixit	Equity Shares	908	8.10%	0.00%
3	Mr. Manish Sharma	Equity Shares	592	5.28%	0.00%

(d) b) Shares held by Promoters at the end of the year 31-03-2023

Sr. No	Promoter's Name	Class of Shares	No. of Shares	% of total Shares	% Change during the year
1	Mr. Shashikanth Suryanarayanan	Equity Shares	4,800	43.33%	13.23%
2	Mr. Amit Dixit	Equity Shares	908	8.20%	0.00%
3	Mr. Manish Sharma	Equity Shares	592	5.34%	0.00%

4 Reserves and surplus

	31 March 2024	31 March 2023
Securities premium account		
At the commencement of the year	**1,136.11**	1,127.70
Premium on issue of equity shares	**11.24**	4.05
Transfer to security premium - Options exercised during the year	**13.03**	4.36
At the end of the year	**1,160.38**	1,136.11
Surplus/(Deficit) (Profit and loss balance)		
At the commencement of the year	**21.59**	(89.20)
Profit for the year	**278.37**	110.79
At the end of the year	**299.96**	21.59
Employee Stock Options		
At the commencement of the year	**102.12**	80.80
Employee compensation expense for the year	**16.16**	25.68
Transfer to security premium - Options exercised during the year	**(13.03)**	(4.36)
At the end of the year	**105.25**	102.12
Capital Reserve		
At the commencement of the year	**23.40**	23.40
Government Grant for the year (Refer Note 2.17)	**24.81**	-
At the end of the year	**48.21**	23.40
Total reserves and surplus	**1,613.80**	1,283.22

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

6 Long -term borrowings

	Non-current portion		Current portion*	
	31 March 2024	31 March 2023	31 March 2024	31 March 2023
Term Loans - Secured				
From Banks				
- HDFC Bank Limited - Term Loan	75.70	30.18	50.70	30.13
- HDFC Bank Limited - Car Loan	-	0.84	0.84	0.84
- HDFC Bank Limited - ECLGS Loan	-	3.55	3.55	7.10
- ICICI Bank Limited - Term Loan	-	90.08	-	36.51
- Indusind Bank Limited - Term Loan	52.11	71.06	18.95	18.95
-EXIM Bank - Term Loan	145.00	90.00	20.00	10.00
-Yes Bank Limited - Term Loan	44.37	-	0.62	-
From Others				
- BAJAJ Finance Limited - ECLGS Loan	-	9.28	-	14.71
- BAJAJ Finance Limited - Term Loan	108.80	53.18	42.53	18.52
	425.98	351.10	137.19	136.76

* amounts disclosed under 'short term borrowings'.

Note 1

Details of outstanding borrowings *(current year)*

Loans	Outstanding loan amount	Repayment in instalments	Repayment		Rate of interest
			Starting from	Ending on	
HDFC Bank Ltd - Term Loan	33.18	60 (Monthly)	August 2019	January 2025	9.59%
		59 (Monthly)	September 2019	January 2025	
		56 (Monthly)	November 2019	January 2025	
		60 (Monthly)	December 2020	November 2025	
	93.22	60 (Monthly)	August 2023	July 2028	9.07%
HDFC Bank Ltd - Car Loan	0.84	60 (Monthly)	March 2020	February 2025	8.60%
HDFC Bank Ltd- ECLGS Loan	3.55	36 (Monthly)	October 2021	September 2024	9.25%
Indusind Bank - Term Loan	71.06	19 (Quarterly)	June 2023	December 2027	9.77%
Exim Bank - Term Loan	90.00	20 (Quarterly)	October 2023	July 2028	8.95%
	75.00	16 (Quarterly)	April 2025	January 2029	8.95%
Yes Bank Ltd - Term Loan	44.99	72 (Monthly)	March 2025	February 2031	8.97%
Bajaj Finance Limited - Term Loan	53.18	60 (Monthly)	August 2021	August 2026	9.50%
	98.15	54 (Monthly)	March 2024	August 2028	9.40%

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Details of outstanding borrowings (previous year)

Loans	Outstanding loan amount	Repayment in instalments	Repayment		Rate of interest
			Starting from	Ending on	
HDFC Bank Ltd - Term Loan	63.31	60 (Monthly)	August 2019	January 2025	9.43%
		59 (Monthly)	September 2019	January 2025	
		56 (Monthly)	November 2019	January 2025	
		60 (Monthly)	December 2020	November 2025	
HDFC Bank Ltd - Car Loan	1.68	60 (Monthly)	March 2020	February 2025	8.60%
HDFC Bank Ltd- ECLGS Loan	10.65	36 (Monthly)	October 2021	September 2024	9.25%
ICICI Bank Ltd - Term Loan	32.15	14 (Quarterly)	January 2022	April 2025	8.40%
	94.44	17 (Quarterly)	February 2023	May 2027	11.25%
Indusind Bank - Term Loan	90.00	19 (Quarterly)	June 2023	December 2027	8.45%
Exim Bank - Term Loan	100.00	20 (Quarterly)	October 2023	July 2028	8.50%
Bajaj Finance Limited-ECLGS Loan	23.99	36 (Monthly)	November 2021	October 2024	9.90%
Bajaj Finance Limited - Term Loan	71.70	60 (Monthly)	August 2021	July 2026	9.40%

Note 2

The details of security as follows:

1. First Pari Passu charge by way of hypothecation in favour of HDFC Bank Limited, Bajaj Finance Limited, Export Import Bank of India, Indusind Bank Limited and Yes Bank Limited on all movables assets at all location's of the company
2. First Pari Passu charge by way of mortgage in favour of HDFC Bank Limited, Bajaj Finance Limited, Export Import Bank of India and Yes Bank Limited, of all immovable security along with land and building thereon both present and future
3. Extension of second ranking charge in favour of Bajaj Finance Limited and HDFC Bank Limited over existing primary and collateral securities including mortgages created in favour of the Banks

6 Other long-term liabilities

	[illegible]	[illegible]
Accrual for straight lining of rent	17.83	13.90
	17.83	13.90

7 Long term provisions

	31 March 2024	31 March 2023
Gratuity (refer note 31)	34.89	26.34
Compensated absences	4.93	5.32
Warranty Provision (refer note 43)	4.60	4.63
	44.42	36.29

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

8 Short-term borrowings

	31 March 2024	31 March 2023
Loans repayable on demand (secured)		
Short Term Revolving Loan Facility from Bajaj Finance Limited	**50.00**	130.00
Export Packing Credit Facility from HDFC Bank Limited	**40.00**	44.53
Cash Credit Facility from ICICI Bank Limited	**3.66**	52.95
Export Packing Credit Facility from ICICI Bank Limited	**50.00**	-
Cash Credit Facility from IndusInd Bank Limited	**149.51**	06.09
Working Capital Demand Loan from Yes Bank Limited	**100.00**	-
Current maturities of long term debt (refer note 5)	**137.19**	136.76
	530.36	450.33

1 Cash credit facility from HDFC Bank, carried interest of 9.37% p.a. (previous year : 8.50% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future.

2 Short Term Revolving Loan Facility ("STRL") from Bajaj Finance carry interest of 9.00% p.a. (previous year : 9.25 %) p.a. computed on a monthly basis on the actual amount utilised and are renewable after every three months. STRL facility is primarily secured by hypothecation of all current assets, both present and future.

3 Export Packing Credit Facility from HDFC Bank carried interest of 6.75% (previous year : 5.50% p.a. to 6.96% p.a. p.a.) computed on a monthly basis and were repayable on due date. These were primarily secured by hypothecation of all current assets, both present and future.

4 Cash credit facility from ICICI Bank, carried interest of 9.35% p.a. (previous year : 11% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. Working capital demand loan facility with ICICI Bank carried interest of Nil (previous year 9.40%), computed on a monthly basis. These were primarily secured by hypothecation of all current assets, both present and future.

5 Export Packing Credit from ICICI Bank, carried interest of 6% p.a. to 6.40% p.a. (previous year : 5.50% to 6.86%) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future placed with ICICI Bank Ltd.

6 Cash credit facility from IndusInd Bank, carried interest of 8.60% p.a. (previous year : 9.00% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future. Lien in favour of IndusInd Bank on three fixed deposits of ₹ 11.20 Mn., Rs. 2.20 & Rs. 8.30 Mn. (previous year two fixed deposit of ₹ 10 Mn and Rs 2 Mn.) placed with IndusInd Bank Ltd.

7 Working Capital Demand Loan from Yes Bank carried interest of 8.10% (Previous Year :- Nil) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future.

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

9 Trade payables

	31 March 2024	31 March 2023
(A) Total outstanding dues of micro enterprises and small enterprises (refer note no 35)	28.80	20.68
(B) Total outstanding dues of creditors other than micro enterprise and small enterprise	738.53	644.20
	767.33	664.88

9 a) Trade payables ageing schedule

	Particulars	Outstanding for following periods from due date of payment 31-03-2024					
		Current but not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i)	MSME	28.80	-	-	-	-	28.80
(ii)	Others	408.05	49.03	5.25	3.87	-	466.20
(iii)	Disputed Dues - MSME	-	-	-	-	-	-
(iv)	Disputed Dues - Others	-	-	-	-	-	-
(v)	Provisions	272.33	-	-	-	-	272.33
	Total	709.18	49.03	5.25	3.87	-	767.33

	Particulars	Outstanding for following periods from due date of payment 31-03-2023					
		Current but not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i)	MSME	20.61	0.07	-	-	-	20.68
(ii)	Others	417.30	59.36	15.34	0.01	-	492.01
(iii)	Disputed Dues - MSME	-	-	-	-	-	-
(iv)	Disputed Dues - Others	-	-	-	-	-	-
(v)	Provisions	152.19	-	-	-	-	152.19
	Total	590.10	59.43	15.34	0.01	-	664.88

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

10 Other current liabilities

	31 March 2024	31 March 2023
Employee related payables	**79.30**	58.14
Accrual for straight lining of rent	**1.20**	3.93
Statutory dues payable	**70.41**	21.73
Advance from customers *	**0.20**	0.00
Creditors for fixed assets	**6.48**	18.37
Interest accrued and not due	**4.11**	2.68
Provision for sales discount	**68.53**	-
	230.23	104.85

11 Short term provisions

	31 March 2024	31 March 2023
Provision for employee benefits		
-Gratuity (refer note 31)	**5.76**	3.75
-Compensated absences	**0.38**	0.46
Warranty Provision (refer note 43)	**4.60**	5.61
	10.74	9.82

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

12 A. Property, plant and equipment

Description	Land	Building	Jigs & Fixtures	Electric Installa- [redacted]	Plant and machinery	Furniture and [redacted]	Computers	Vehicles	Leasehold improve- [redacted]	Office equipment	Total
Gross block											
Balance as at 1 April 2022	23.33	26.40	32.00	4.20	685.10	45.80	56.00	8.10	70.20	30.90	1,018.03
Additions	-	0.06	8.35	2.57	120.09	11.30	30.01	0.62	15.72	7.22	195.85
Disposals	-	-	-	-	2.17	5.08	2.73	-	0.46	0.12	10.56
Balance as at 31 March 2023	23.33	26.46	40.35	6.77	805.93	55.02	113.28	8.72	85.46	38.00	1,203.32
Balance as at 1 April 2023	**23.33**	**26.46**	**40.35**	**6.77**	**805.93**	**55.02**	**113.28**	**8.72**	**85.46**	**38.00**	**1,203.32**
Additions	**-**	**1.48**	**10.18**	**4.58**	**313.79**	**7.06**	**31.15**	**1.13**	**22.89**	**8.72**	**400.98**
Disposals	**-**	**-**	**1.89**	**-**	**16.35**	**4.58**	**0.83**	**-**	**0.83**	**0.38**	**24.86**
Balance as at 31 March 2024	**23.33**	**27.94**	**48.64**	**11.35**	**1,103.37**	**57.50**	**143.60**	**9.85**	**107.52**	**46.34**	**1,579.44**
Depreciation											
Balance as at 1 April 2022	-	10.80	22.60	1.20	285.30	21.20	60.40	4.40	24.20	14.60	451.30
Depreciation for the year	-	1.49	8.87	0.95	83.22	8.36	22.28	1.00	12.10	8.71	146.98
Accumulated depreciation on disposal	-	-	-	-	1.78	4.31	2.65	-	0.47	0.12	9.33
Balance as at 31 March 2023	-	12.29	31.47	2.15	366.74	25.85	80.03	5.40	35.83	23.19	588.95
Balance as at 1 April 2023	**-**	**12.29**	**31.47**	**2.15**	**366.74**	**25.85**	**80.03**	**5.40**	**35.83**	**23.19**	**588.95**
Depreciation for the year	**-**	**1.43**	**9.32**	**1.52**	**107.53**	**8.28**	**30.42**	**0.99**	**15.65**	**8.39**	**183.73**
Accumulated depreciation on disposal	**-**	**-**	**1.89**	**-**	**11.50**	**3.94**	**0.83**	**-**	**0.68**	**0.38**	**19.22**
Balance as at 31 March 2024	**-**	**13.72**	**38.90**	**3.67**	**462.77**	**30.19**	**115.62**	**6.39**	**51.00**	**31.20**	**753.48**
Net block											
As at 31 March 2023	23.33	14.17	8.88	4.62	439.19	29.17	27.25	3.32	49.63	14.01	614.37
As at 31 March 2024	**23.33**	**14.22**	**9.74**	**7.68**	**640.60**	**27.31**	**27.98**	**3.46**	**56.52**	**15.14**	**825.98**

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

12B. Capital work-in-progress

Description	Building	Jigs & Fixtures	Electric Installation	Plant and machinery	Furniture and fixtures	Computers	Vehicles	Leasehold improvements	Office equipment	Total
Balance as at 1 April 2022	-	-	-	1.20	0.20	0.20	-	0.10	0.40	2.10
Additions	0.06	0.06	2.64	139.96	11.10	29.53	0.62	19.32	6.93	219.02
Capitalised during the year	0.06	0.05	2.57	120.00	11.30	30.01	0.62	15.72	7.22	196.85
Balance as at 31 March 2023	-	0.01	0.27	21.16	0.00	0.02	-	3.70	0.11	25.27
Balance as at 1 April 2023	**-**	**0.01**	**0.27**	**21.16**	**0.00**	**0.02**	**-**	**3.70**	**0.11**	**25.27**
Additions	**1.45**	**10.31**	**4.29**	**320.83**	**7.06**	**31.20**	**1.14**	**21.81**	**9.45**	**407.54**
Capitalised during the year	**1.45**	**10.18**	**4.58**	**313.95**	**7.06**	**31.15**	**1.14**	**22.89**	**6.72**	**401.10**
Balance as at 31 March 2024	**-**	**0.14**	**-**	**28.04**	**0.00**	**0.07**	**-**	**2.62**	**0.84**	**31.71**

Capital Work in Progress	Amount in CWIP for a period of 01 April 2023 to 31 March 2024				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	29.21	2.50	-	-	31.71
Projects temporarily suspended	-	-	-	-	-
[illegible]					
Projects in progress	25.27	-	-	-	25.27
Projects temporarily suspended	-	-	-	-	-

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

13 A. Intangible fixed assets

Description	Product Development	Software (Other than internally developed)	Goodwill	Total
Gross block				
Balance as at 1 April 2022	659.50	98.20	121.70	879.50
Additions	204.06	18.31	-	222.37
Deletion	-	1.27	-	1.27
Balance as at 31 March 2023	863.56	115.24	121.70	1,100.60
Balance as at 1 April 2023	**863.66**	**115.24**	**121.70**	**1,100.60**
Additions	**134.00**	**24.33**	**-**	**158.33**
Deletion	**-**	**-**	**-**	**-**
Balance as at 31 March 2024	**997.66**	**139.57**	**121.70**	**1,258.93**
Balance as at 1 April 2022	252.50	53.00	121.70	427.20
Amortization for the year	138.51	14.87	-	153.38
Accumulated depreciation on disposal	-	1.27	-	1.27
Balance as at 31 March 2023	391.01	66.60	121.70	579.31
Balance as at 1 April 2023	**391.01**	**66.60**	**121.70**	**579.31**
Amortization for the year	**154.46**	**17.86**	**-**	**172.32**
Accumulated depreciation on disposal	**-**	**-**	**-**	**-**
Balance as at 31 March 2024	**545.47**	**84.46**	**121.70**	**751.63**
Net block				
As at 31 March 2023	**472.65**	**48.64**	**-**	**521.29**
As at 31 March 2024	**452.19**	**55.11**	**-**	**507.30**

13 B. Intangible fixed assets under development

Description	Product Development	Software (Other than internally developed)	Total
Balance as at 1 April 2022	313.10	0.20	313.30
Additions	302.92	19.37	322.29
Capitalised during the year	204.06	18.31	222.37
Impairment Loss	(0.18)		(0.18)
Balance as at 31 March 2023	411.78	1.26	413.04
Balance as at 1 April 2023	**411.78**	**1.26**	**413.04**
Additions	**318.46**	**24.21**	**342.67**
Capitalised during the year	**134.00**	**24.33**	**158.33**
Impairment Loss	**10.75**	**-**	**10.75**
Balance as at 31 March 2024	**585.49**	**1.14**	**586.63**

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

13B (i) Intangible Assets under development ageing schedule

[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
Projects in progress	**249.42**	**185.20**	**97.11**	**74.80**	**586.63**
Projects temporarily suspended	-	-	-	-	-

[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
Projects in progress	231.74	96.70	27.12	57.45	413.01
Projects temporarily suspended	-	-	-	-	-

* Work with respect to the projects under development for more than 3 years, is under progress and these projects are expected to commercialise in the coming years

14 Deferred tax assets

As per para 17 of AS 22 'Where an enterprise has unabsorbed depreciation or carry forward of losses under tax laws, deferred tax assets should be recognized only to the extent that there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realized'. In the absence of virtual certainty, the Company has not recognized deferred tax assets on brought forward / current year tax losses and unabsorbed depreciation

15 Long-term loans and advances

(unsecured, considered good)

	31 March 2024	31 March 2023
To parties other than related parties		
Capital advances	**31.58**	67.81
Income tax recoverable	**1.41**	3.99
	32.99	71.80

16 Other non-current assets

(Unsecured, considered good unless otherwise stated)

	31 March 2024	31 March 2023
Bank Deposits (due to mature after 12 months from the reporting date) (refer note 19)*	**1.61**	0.85
Security deposits	**40.13**	36.37
Prepaid expenses	**1.52**	3.16
Receivable from Government - Grants	**8.95**	13.40
	52.21	53.78

* Includes seven fixed deposits of ₹ 1.48 Mn (previous year : Two Fixed Deposits of Rs.0.02 Mn) given under Lien to ICICI Bank Ltd against Bank Guarantee to Custom Authority, One Fixed Deposit of ₹ 0.13 Mn (previous year : ₹ 0.7 Mn) given under Lien to IDBI Bank against Bank Guarantee to Custom Authority

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

17 Inventories

	31 March 2024	31 March 2023
Raw materials (includes Goods in transit of ₹ 223.65 Mn (Previous year ₹ 130.86 Mn))	1,001.40	764.42
Work-in-progress	83.45	83.63
Finished products	91.64	53.88
	1,176.49	901.93

18 Trade receivables

(Unsecured, considered good)

	31 March 2024	31 March 2023
Receivables outstanding for a period exceeding six months from the date they became due for payment		
(a) unsecured, considered good	2.56	0.81
(b) unsecured, considered doubtful	-	3.36
Less : Provision for doubtful receivables	-	(3.36)
	2.56	11.81
- Considered good	270.35	152.98
	272.91	153.79

* Out of the total trade receivables for FY 23-24 Rs. NIL (FY 2022-23 Rs 3.36 Mn), receivable from the export customer - Briggs and Stratton, are not recoverable. The Company had provided for this amount and had made application to the RBI seeking for approval to write-off the same from books of accounts in the previous year. In the current financial year, the company has written off the receivable balance against the provision made in the previous year.

18 a) Trade Receivables ageing schedule

Particulars	Outstanding for following periods from due date of payment - 31-03-2024						
	Current but not due	Less than 6 months	6 months -1 [redacted]	1-2 years	2-3 years	More than 3 [redacted]	Total
(i) Undisputed Trade receivables – considered good	201.54	51.69	1.38	1.18	-	-	255.79
(ii) Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-	-
(iii) Disputed Trade Receivables considered good	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables considered doubtful	-	-	-	-	-	-	-
(v) Provision for doubtful debt receivable	-	-	-	-	-	-	-
(vi) Unbilled Receivable	-	-	-	-	-	-	17.12
Total	201.54	51.69	1.38	1.18	-	-	272.91

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

18 b) Trade Receivables ageing schedule

Particulars	Outstanding for following periods from due date of payment - 31-03-2023						
	Current but not due	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	130.29	18.99	0.81	-	-	-	150.09
(ii) Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-	-
(iii) Disputed Trade Receivables considered good				-	-	-	-
(iv) Disputed Trade Receivables considered doubtful	-	-	-		3.36		3.36
(v) Provision for doubtful debt receivable	-	-	-	-	(3.36)	-	(3.36)
(vi) Unbilled receivable	-	-	-	-	-	-	3.70
Total	130.29	18.99	0.81	-	-	-	153.79

19 Cash and bank balances

	31 March 2024	31 March 2023
Cash and cash equivalents		
Cash on hand		
On current accounts	0.02	-
	35.09	32.15
Other bank balances	35.11	32.15
Bank deposits with original maturity of more than 3 months and balance maturity less than 12 months*	38.03	51.89
	73.14	84.04

* Includes Lien in favour of ICICI Bank Three fixed deposit of ₹ 2.48 Mn (previous year ₹ 0.05 Mn)

IndusInd Bank Ltd six fixed deposit of ₹ 34 Mn. (Previous Year ₹ 24.20 Mn.) against Working Capital and Term Loan Facility.

IDB Bank on Two fixed Deposits of ₹ 1.46 Mn (previous year ₹ 0.1 Mn and ₹ 0.7 Mn) against Bank Guarantee to Custom Authority.

HDFC Bank Limited on Fixed deposit of Nil (Previous year ₹ 0.1 mn) against working capital facility
Mahindra & Mahindra Finance on fixed deposit of Nil (Previous year 26.2 mn) against bill discounting facility

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

	31 March 2024	31 March 2023
Details of bank balances / deposits		
Bank deposits due to mature within 12 months of the reporting date included under 'Other bank balances'	38.03	51.89
Bank deposits due to mature after 12 months of the reporting date included under 'Other non-current assets' (refer note 16)	1.61	0.85
	39.64	52.74

20 Short-term loans and advances

(unsecured, considered good)

	31 March 2024	31 March 2023
To parties other than related parties		
Prepaid expenses	32.43	34.77
Advances to Suppliers	20.39	12.73
Advances to employees	0.11	0.15
Interest Accrued on deposits	0.34	0.99
Other advances	0.01	0.01
Advance custom duty	20.06	0.76
Cenvat credit receivable	0.46	11.43
	73.80	55.86

21 Other current assets

(unsecured, considered good)

	31 March 2024	31 March 2023
Receivable from Government - Grants	4.83	17.30
Accrued Export Incentives	3.66	2.94
	8.49	20.24

22 Revenue from operations

	31 March 2024	31 March 2023
Sale of products	5,230.25	4,145.90
Sale of services	63.91	75.60
Other operating revenue	12.37	8.60
	5,306.53	4,230.28

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

Break-up of revenue from sale of products	31 March 2024	31 March 2023
Manufactured goods:		
Motor Controls	3,177.01	2,233.01
Supervisory Controls	615.04	652.24
Engine Controls	725.97	644.63
Other Controls	712.23	616.02
	5,230.25	4,145.90

Break-up of revenue from sale of products	31 March 2024	31 March 2023
Royalty on Licenses	17.81	15.60
Development Charges	46.22	59.75
Job Work Charges	0.08	0.33
	63.91	75.69

Break-up of revenue from sale of products	31 March 2024	31 March 2023
Scrap Sales	5.02	3.44
Export Incentives and Miscellaneous Income	7.35	5.25
	12.37	8.69

* Includes material below 10% of total value

23 Other Income

	31 March 2024	31 March 2023
Interest income	2.92	4.25
Gain on account of foreign exchange fluctuations (net)	26.83	-
Government Grant for the year (Refer Note 2.17)	13.78	56.17
	43.53	60.43

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

24 Cost of materials consumed

	31 March 2024	31 March 2023
Inventory at the beginning of the year	764.42	779.50
Purchases	3,904.72	3,024.52
Inventory at the end of the year	1,001.40	764.42
	3,667.74	3,039.60
Less: Capitalised during the year	-	-
	3,667.74	3,039.60

Breakup of cost of material consumed	31 March 2024	31 March 2023
Surface Mounted Device Components (SMD Components)	2,646.55	2,421.74
Packing, Consumables	244.09	227.00
Printed Circuit Boards	282.05	94.50
Electricals	55.73	70.93
Casing	168.05	98.76
Motors	37.10	35.09
Others*	54.17	62.68
	3,667.74	3,039.60

* includes material below 10% of total value

25 Changes in inventories of finished goods and work-in progress

Particulars	31 March 2024		
	Opening Inventory	Closing Inventory	(Increase)/ Decrease in Inventory
Finished Goods			
Motor Controls	16.45	51.45	(35.00)
Supervisory Controls	0.04	9.80	(9.76)
Engine Controls	26.46	18.30	8.16
Other Controls	10.93	12.10	(1.17)
	53.88	91.65	(37.77)
Work-in-progress	83.63	83.45	0.18
	83.63	83.45	0.18
Changes in inventories of finished goods and work-in-progress	137.51	175.10	(37.59)

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Particulars	31 March 2023		
	Opening Inventory	Closing Inventory	(Increase)/ Decrease in Inventory
Finished Goods			
Motor Controls	57.20	16.45	40.75
Supervisory Controls	-	1.04	(1.04)
Engine Controls	14.30	26.46	(12.16)
Other Controls	11.50	10.93	0.57
	83.00	53.88	29.12
Work-in-progress	48.20	83.63	(35.43)
	48.20	83.63	(35.43)
Changes in inventories of finished goods and work-in-progress	131.19	137.51	(6.31)

26 Employee benefits expenses

	31 March 2024	31 March 2023
Salaries, wages and bonus	**506.62**	405.45
Gratuity	**15.09**	6.71
Contribution to Provident and other funds	**13.29**	9.02
Employee stock compensation expense (Refer ESOP note no 41)	**16.18**	25.62
Staff welfare expenses	**54.92**	34.92
	606.08	482.74
Less : Capitalised during the year	**(174.10)**	(155.17)
	431.98	327.57

27 Finance cost

	31 March 2024	31 March 2023
Interest expenses	**115.91**	90.08
Less : Capitalised during the year	**-**	-
	115.91	90.08

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

28 Depreciation and amortisation

	31 March 2024	31 March 2023
Depreciation of tangible fixed assets	183.73	146.98
Amortisation of intangible fixed assets	172.32	153.38
	356.05	300.36
Less : Capitalised during the year	(39.35)	(37.80)
	316.70	262.56

29 Other expenses

	31 March 2024	31 March 2023
Consumption of stores and spares	46.72	40.79
Labour charges - Direct	170.90	136.29
Labour charges - non-production	49.90	41.35
Power and fuel	45.80	37.22
Warranty expenses	3.28	3.92
Repair and maintenance		
Building	15.40	12.81
Machinery	18.86	18.62
Others	9.98	6.88
Rent (refer note 32)	73.23	69.47
Payment to auditors	2.14	1.90
Legal and professional charges	49.03	64.50
Security expenses	11.83	9.75
Telephone expenses	5.31	5.16
Travelling expenses	24.15	24.52
Printing and Stationery	1.89	1.78
Advertisement and business promotion	0.63	0.73
Loss on sale of fixed assets	3.28	0.15
Rates and taxes	0.38	0.04
Loss on impairment of Intangible Assets	10.76	0.18
Loss on account of foreign exchange fluctuations (net)	-	21.69
CSR Expenses (refer Note 45)	1.80	0.30
Miscellaneous expenses	73.18	49.38
Less : Capitalised during the year	(104.99)	(110.03)
	514.45	447.42
Note : Payment to Auditors		
As auditor		
Statutory audit	1.80	1.65
Tax audit	0.20	0.20
Out of pocket expense reimbursed	0.14	0.05
	2.14	1.90

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

30 Earnings per share (EPS)

	31 March 2024	31 March 2023
Basic earnings per share		
Net profit after tax attributable to equity share holders for basic EPS	278.37	110.79
Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for basic EPS (In Nos.)	11,174	11,017
Basic earnings per equity share face value of ₹ 10 (in ₹)	24,912	10,056
Diluted earnings per share		
Profit after tax attributable to equity share holders for diluted EPS	278.37	110.79
Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for diluted EPS (In Nos.)	28,168	28,014
Diluted earnings per equity share face value of ₹ 10 (in ₹)	9,883	3,955

31 Employee benefits: Post-employment benefit plans

Defined contribution plan

The Company makes contributions, determined as a specified percentage of employee salaries, in respect of qualifying employees towards Provident Fund, which is a defined contribution plan. The Company has no obligations other than to make the specified contributions. The contributions are charged to the Statement of Profit and Loss as they accrue. The amount recognized as an expense towards contribution to Provident Fund, Employees State Insurance for the year aggregated to Rs 13.29 Mn (2023: ₹ 9.97 Mn)

Defined benefit plan

In accordance with the Payment of Gratuity Act, 1972, the Company is required to provide post employment benefit to its employees in the form of gratuity. The present value of the obligation under such defined benefit plan is determined at each Balance Sheet date based on an actuarial valuation using the projected unit credit method. In accordance with AS 15 (Revised), the disclosures relating to actuarial assumptions are provided below

[A] Statement showing changes in present value of obligation

Particulars	31 March 2024	31 March 2023
Defined benefit obligation at the beginning	49.00	41.30
Current service cost	6.65	6.25
Interest cost	3.47	2.83
Past service cost	-	-
Prior service cost - non vested benefits	-	-
Curtailments	-	-
Benefits paid directly by the company	(3.43)	(3.15)
Benefits paid from fund	(0.53)	(0.71)
Net transfer in/(out) (including the effect of any business combinations/divestitures	-	-
Actuarial gain on obligation	4.20	2.48
Defined benefit obligation at the end	61.36	49.00

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

[B] Table showing changes in the fair value of plan assets

Particulars	31 March 2024	31 March 2023
Fair value of plan assets at the beginning	**18.91**	17.70
Expected return on plan assets	**1.37**	1.28
Employer contributions	**1.10**	3.04
Employees contributions	**-**	(3.15)
Benefits paid	**(0.53)**	(0.71)
Expenses debited by LIC	**(0.15)**	(0.15)
Net transfer in/out; (including the effect of any business combinations/divestitures)	**-**	-
Actuarial gain/(loss) on plan assets	**0.01**	(0.00)
Fair value of plan assets at the end	**20.71**	18.91

[C] Unfunded liability

[illegible]	[illegible]	[illegible]
Unfunded liability	**40.65**	30.09

[D] Actuarial gain / loss recognized

Particulars	31 March 2024	31 March 2023
Actuarial gain for the current period - obligation	**4.20**	2.49
Actuarial (loss)/gain for the current period - plan assets	**(0.01)**	0.00
Total actuarial gain for the current period	**4.19**	2.49

[E] Amounts to be recognized in the Balance Sheet

Particulars	31 March 2024	31 March 2023
Present value of defined benefit obligations at the end	**61.37**	49.00
Fair Value of plan asset at the end	**20.72**	19.91
Funded Status - Unfunded liability	**40.65**	30.09

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

Bifurcation of present value of obligations at the end of the current period

Particulars	31 March 2024	31 March 2023
Current liability	5.76	3.75
Non current liability	34.89	26.34
Present value of obligation as at the end	**40.65**	30.09

[F] Expenses recognised in the Statement of Profit and Loss

Particulars	31 March 2024	31 March 2023
Current Service cost	8.65	6.25
Interest cost on obligation	3.47	2.83
Past service cost	-	-
Expected return on plan assets	(1.37)	(1.28)
Amortisation of prior service cost	-	-
Net actuarial gain to be recognised	4.19	2.49
Expenses debited by JC	0.15	0.14
Expense recognised in statement of Profit and Loss	15.09	10.43

[G] Actuarial assumptions

Particulars	31 March 2024	31 March 2023
Discount rate (p.a.)	7.11%	7.36%
Salary escalation rate (p.a.)	8.00%	8.00%
Expected rate of return on plan assets	7.15%	7.19%

[H] Experience adjustment on present value of benefit obligation and plan assets

Particulars	31 March 2024	31 March 2023
Gain on Plan Liabilities	4.20	2.49
% of Opening Plan Liabilities	8.57%	6.02%
Gain on Plan Assets	(0.01)	0.00
% of Opening Plan Assets	0.00%	0.00%

Amounts disclosed as 0.00 are below the disclosure thresholds of the company

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

32 Operating lease as lessee

The Company has taken factory premise, technical center and corporate office under operating leases. Factory premises is leased for a period of ten years, technical centre and corporate office, both are leased for a period of five years, with an option to renew the lease after this period. Operating lease payments for the period charged to Statement of Profit and Loss amount to ₹ 73.23 Mn (previous year ₹ 69.47 Mn) (net of operating lease rent capitalised amounting to ₹ 22.12 Mn (previous year: ₹ 23.88 Mn). The Company has disclosed operating lease rentals payable (minimum lease payments) over the lease term under the above leases is as given below

Future minimum lease payments	31 March 2024	31 March 2023
- Not later than 1 year	**68.79**	65.94
- Later than 1 year and not later than 5 years	**158.56**	199.98
- Later than 5 years	**-**	27.37
	227.35	**293.29**

33 Contingent liabilities and commitments

(to the extent not provided for)

	31 March 2024	31 March 2023
Contingent liabilities:		
Liability for bills discounted	**9.35**	25.82
	9.35	25.82
Commitments :		
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances)	**41.89**	102.17
	41.89	102.17

34 Related party disclosures

(i) List of Related Parties & relationship:

Sr. No.	Particulars	Name of the Related Party
1	Key Management Personnel	Shashikanth Suryanarayanan (Director) Amit Dixit (Director)
2	Significant shareholders	Nexus India Ventures Investments Iron Pillar Fund I LLC Iron Pillar India Fund I TR Capital II Mauritius Entrust Family Office Legal And Trusteeship Services Private Limited Montane Ventures

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(d) Disclosure of related party transactions:

Name of the related party	Nature of transactions	31 March 2024	31 March 2023
Mr. Shashikanth Suryanarayanan (Director)	Remuneration to key managerial personnel*	32.20	19.07
Mr. Amit Dixit (Director)	Remuneration to key managerial personnel*	53.50	13.02

* Amount disclosed excludes contribution to gratuity and compensated absences as the incremental liability has been accounted for by the Company as a whole based on actuarial valuation.

35 Dues to micro and small suppliers

Particulars	31 March 2024	31 March 2023
The amounts remaining unpaid to micro and small suppliers as at the end of the year		
- Principal	28.60	20.68
- Interest due thereon	1.11	0.36
The amount of interest paid by the buyer as per the Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006).	-	-
The amounts of the payments made to micro and small suppliers beyond the appointed day during each accounting year.	50.76	97.95
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006	1.11	0.36
The amount of interest accrued and remaining unpaid at the end of each accounting year	1.11	0.36
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under the MSMED Act, 2006	4.57	3.46

Note The above information has been compiled by the Company on the basis of information made available by vendors during the financial year 2023-24.

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

36 Details of imported and indigenous raw materials, components and spare parts consumed during the financial year

Particulars	31 March 2024		31 March 2023	
	% of total consumption	Rupees in Mn.	% of total consumption	Rupees in Mn.
Raw material				
Imported	78%	2,865.79	73%	2,226.91
Indigenous	22%	801.95	27%	813.69
	100%	3,667.74	100%	3,039.60
Spare parts				
Imported	12%	5.39	45%	20.85
Indigenous	88%	41.33	55%	25.94
	100%	46.72	100%	46.79

37 CIF Value of Imports

Particulars	31 March 2024	31 March 2023
Raw material (includes Goods in transit of ₹ 223.85 Mn (Previous year ₹ 130.88 Mn))	3,122.61	2,369.35
Components and spare parts	13.75	27.17
Capital goods	165.27	71.36
	3,301.63	2,467.88

38 Unhedged foreign currency exposures

Nature of exposure	Currency	Amount in Foreign currency		Equivalent amount in INR	
		31 March 2024	31 March 2023	31 March 2024	31 March 2023
Trade Receivable	USD	0.52	0.04	42.72	3.21
	EUR	0.28	0.10	24.63	9.42
Trade Payable	USD	4.56	5.00	380.32	410.92
	EUR	0.00	0.06	0.22	5.40

39 Expenditure in foreign currency

Particulars	31 March 2024	31 March 2023
Legal and professional charges	8.71	17.54
Consumables and Factory Expenses	5.39	17.46
Foreign Travelling Expenses	3.81	1.35
Recruitment Expenses	1.43	1.97
Repairs & Maintenance	2.39	4.58
Others	3.63	1.74
Total	25.36	44.64

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Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

40 Earnings in foreign currency

FOB Value of exports (including sale of services)	**299.18**	241.72
(Above amount does not include Sales to SEZ (Deemed Exports) amounting to ₹ 6.61 Mn. (previous year ₹ 6.62 Mn))		

41 Employee stock option scheme

The Company has granted share option awards to eight (previous year: four) of its employee. All share-based payment awards granted are options to purchase common stock in the Company, which are right to receive a share of the Company at a future vesting date with agreed exercise price. Stock options outstanding as of 31 March 2024 vest over the date of grant and are valued at the date of grant using Black Scholes model.

Sr. No.	Particulars		Figures are in INR	
			31 March 2024	31 March 2023
1	**Terms and conditions of various options granted under ESOS**			
a	Exercise Price			
	Date of grant	**01-04-2022** (PY : 01-04-2022)	**3,41,000**	3,41,000
	Date of grant	**01-04-2022** (PY : 01-04-2022)	**3,60,000**	3,60,000
	Date of grant	**15-04-2022** (PY : 15-04-2022)	**3,70,000**	3,70,000
	Date of grant	**15-04-2022** (PY : 15-04-2022)	**10**	10
	Date of grant	**13-04-2023** (PY : NIL)	**5,00,000**	-
	Date of grant	**13-04-2023** (PY : Nil)	**4,70,000**	-
	Date of grant	**13-04-2023** (PY : Nil)	**5,50,000**	-
	Date of grant	**28-02-2024** (PY : NIL)	**5,50,000**	-
b	**Vesting Period for options vested during the year**		**Graded vesting over a period of 1 to 4 years**	**Graded vesting over a period of 1 to 4 years**
	Period from date of grant		**No of options vested**	**No of options vested**
	Upon expiry of April 01, 2022		-	62
	Upon expiry of March 31, 2022		-	55
	Upon expiry of April 15, 2022		-	14
	Upon expiry of April 30, 2022		-	28
	Upon expiry of September 26, 2022		-	10
	Upon expiry of March 31 2023		**25**	-
	Upon expiry of April 01, 2023		**28**	-
	Upon expiry of April 15, 2023		**65**	-
	Upon expiry of April 30, 2023		**28**	-

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Sr. No.	Particulars	Figures are in INR	
		31 March 2024	31 March 2023
c	**Exercise Period**	**Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment**	Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment
2	**ESOS Summary**		
a	No. of Options in force at the beginning of the year	869	791
b	No. of Options unvested at the beginning of the year	379	310
c	No. of Options granted during the year	60	246
d	No. of Options vested during the year	146	164
e	No. of Options lapsed / forfeited / cancelled during the year	1	6
f	No. of Options ceased during the year	135	97
g	No. of Options in force at the end of the year	879	869
h	No. of Options unvested at the end of the year	293	379
3	**Exercise price for**		
a	**Options outstanding at the beginning of the year**		
	Date of grant 01-04-2018	85,730	85,730
	Date of grant 26-09-2018	85,730	85,730
	Date of grant 01-04-2018	1,77,160	1,77,160
	Date of grant 01-04-2019	2,12,593	2,12,593
	Date of grant 01-04-2020	2,12,593	2,12,593
	Date of grant 01-04-2020	2,12,593	2,12,593
	Date of grant 15-04-2020	10	10
	Date of grant 15-04-2020	2,29,600	2,29,600
	Date of grant 30-04-2021	3,41,000	3,41,000
	Date of grant 01-04-2022	3,41,000	3,41,000
	Date of grant 01-04-2022	3,50,000	3,00,000
	Date of grant 15-04-2022	3,70,000	3,70,000
	Date of grant 15-04-2022	10	10
c	**Options forfeited during the year**	-	-
d	**Options exercised during the year**	-	-
e	**Options expired during the year**	-	-

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

Sr. No.	Particulars		Figures are in INR	
			31 March 2024	31 March 2023
f	**Options outstanding at the end of the year**		-	-
	Date of grant	01-04-2018	85,730	85,730
	Date of grant	26-09-2018	85,730	85,730
	Date of grant	01-04-2019	1,77,160	1,77,160
	Date of grant	01-04-2019	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	15-04-2020	10	10
	Date of grant	15-04-2020	2,29,600	2,29,600
	Date of grant	30-04-2021	3,41,000	3,41,000
	Date of grant	01-04-2022	3,41,000	3,41,000
	Date of grant	01-04-2022	3,60,000	3,60,000
	Date of grant	15-04-2022	3,70,000	3,70,000
	Date of grant	15-04-2022	10	10
	Date of grant	13-04-2023	5,00,000	
	Date of grant	13-04-2023	4,70,000	-
	Date of grant	13-04-2023	5,50,000	-
	Date of grant	26-02-2024	5,50,000	-
g	**Options exercisable at the end of the year**			
	Date of grant	01-04-2018	85,730	85,730
	Date of grant	26-09-2018	85,730	85,730
	Date of grant	01-04-2019	1,77,160	1,77,160
	Date of grant	01-04-2019	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	15-04-2020	10	10
	Date of grant	15-04-2020	2,29,600	2,29,600
	Date of grant	30-04-2021	3,41,000	3,41,000
	Date of grant	01-04-2024	3,41,000	-
	Date of grant	01-04-2022	3,60,000	-
	Date of grant	15-04-2022	3,70,000	-
	Date of grant	15-04-2022	10	-
4	**Contractual life of Options outstanding at the end of the year**			
5	**Fair value of per option granted during the year**		5,25,667	3,69,033

Assumptions used to estimate the Fair Value of Options using Black Scholes model

Sr. No.	Particulars	31 March 2024	31 March 2023
1	Risk-free interest rate	7.19%	7.01%
2	Expected Life	2.50 years	2.25 years
3	Expected Volatility	28.77%	33.59%
4	Expected Dividend yield	NIL	NIL
5	Fair market value of underlying share (In Rs.)	5,50,000	3,69,623

Expense recognized on account of "Employee share-based payments" are as follows:

[illegible]	[illegible]	[illegible]
Expense arising on account of Employee share-based payments	16.16	25.68

42 Segment reporting

Description of segments and principal activities

The Company's operations predominantly relate to the operating segments in the motor control technology, transmission controls which consists of, Integrated Starter Generator, Electronic fuel injection, Automated Manual Transmission and are aggregated into one reportable segment 'ICE-Automotive Products' in accordance with the aggregation criteria.

The Company also operates in other businesses consisting of small powertrain engine controls business which consists of Genset Control Units, Engine Control Units, Electronics Governors, Control Panels, Actuators and are aggregated into one reportable segment 'Off-Highway Products' in accordance with the aggregation criteria

Another business the company operates in consists of Motor Control Unit and Electrification control units used in various Electric bicycles and Electric Vehicles and are aggregated into one reportable segment 'EV-Automotive' in accordance with the aggregation criteria..

Aggregation is done due to the similarities of the basic technology provided to the customers, and similarities in usage of the products by customers

The Company's core activity is research and development and during the year 2017 company has received recognition as R&D Unit from Department of Scientific and Industrial Research.

Therefore, the reportable segments consist of ' Off-Highway products', 'ICE-Automotive products , 'EV Automotive products' and R&D

The Accounting principles and policies adopted in the preparation of the financial statements are also consistently applied to record income/ expenditure and assets/ liabilities in individual segments.

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Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Segment revenue and result

For the year ended on 31 March 2024	Off-Highway	ICE-Automotive	EV-Automotive	R&D	Unallocable	Total
Sale of Products	746.28	4,424.92	59.05	-	-	5,230.25
Sale of Services	4.42	46.46	13.03	-	-	63.91
Total Revenue	750.70	4,471.38	72.08	-	-	5,294.18
Other operating revenue	11.43	0.94	-	-	-	12.37
Other Income	1.73	25.44	1.57	-	13.79	43.53
Cost of goods sold	468.09	3,130.73	33.01	0.32	-	3,630.15
Other Direct Cost	32.38	217.35	3.15	0.76	-	253.64
Employee benefits expense	50.15	270.54	4.81	106.48	-	431.98
Finance costs	12.98	90.55	1.46	10.92	-	115.91
Depreciation and amortization expenses	56.45	224.41	15.60	10.24	-	316.70
Other expenses excluding other direct cost	32.06	177.96	3.12	45.86	1.81	260.81
Current Tax	-	-	-	-	62.50	62.50
Segment Result	103.77	387.22	12.48	(174.58)	(50.52)	278.37

For the year ended on 31 March 2023	Off-Highway	ICE-Automotive	EV-Automotive	R&D	Unallocable	Total
Sale of Products	806.14	3,339.76	-	-	-	4,145.91
Sale of Services	18.61	57.08	-	-	-	75.69
Total Revenue	824.75	3,396.84	-	-	-	4,221.59
Other operating revenue	5.70	2.99	-	-	-	8.69
Other Income	43.53	16.90	-	-	-	60.43
Cost of goods sold	463.55	2,569.42	-	0.32	-	3,033.29
Other Direct Cost	34.05	172.54	-	-	-	206.59
Employee benefits expense	57.52	156.71	-	113.34	-	327.57
Finance costs	16.42	63.00	-	10.66	-	90.08
Depreciation and amortization expense	27.99	66.51	-	148.06	-	262.56
Other expenses excluding other direct cost	64.56	106.20	-	64.07	-	234.83
Current Tax	-	-	-	-	25.00	25.00
Segment Result	99.89	262.36	-	(336.45)	(25.00)	110.79

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

Details of segment assets and liabilities

[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
Segment Liabilities	**441.60**	**2,176.48**	**42.51**	**(154.70)**	**1,135.76**	**3,641.65**
Segment Assets	**508.52**	**2,706.30**	**118.86**	**249.28**	**58.70**	**3,641.65**

As at 31 March 2023	Off-Highway	ICE-Automotive	EV-Automotive	R&D	Unallocable	Total
Segment Liabilities	740.86	1,409.74	-	(331.71)	1,096.52	2,915.41
Segment Assets	1,390.16	665.91		829.71	29.63	2,915.41

43 Additional disclosures relating to Provisions

Disclosure as required by Accounting Standard (AS 29) - Provisions, Contingent liability and Contingent assets

Particulars	31 March 2024	31 March 2023
Provisions as at commencement of the year	**10.24**	9.60
Add: Additional provisions made during the year	**3.12**	10.24
Less: Amounts used / reversed during the year	**(4.16)**	(9.60)
Provisions as at end of the year	**9.20**	10.24

The company has made warranty provision on account of sale of products with warranty clause. These provisions are based on management's best estimates and past trends. Actual expenses for warranty are charged directly against the provisions. Unutilised provision is reversed on expiry of the warranty period.

44 Disclosure in respect of Research and Development activities as per the requirements of Department of Scientific and Research ('DSIR'):

Sr. No.		Particulars	31 March 2024	31 March 2023
A.	(i)	Land		
	(ii)	Buildings		
B.		**Capital**		
	(i)	Equipment	**124.67**	63.29
	(ii)	Others (Intangibles) Recurring expenses capitalised	**252.52**	232.28
		Total capital expenditure (B) = (i) to (ii)	**377.19**	295.51
C.		**Revenue Expenditure**		
	(i)	Salaries and Wages	**103.43**	102.44
	(ii)	Material, Consumables and Spares	**0.01**	2.13
	(iii)	Utilities	**14.58**	15.95
	(iv)	Other expenditure directly related to R & D	**9.68**	19.00
		Total revenue expenditure (C) = (i) to (iv)	**127.68**	139.52
D.		**"Total Expenditure on the approved R & D Center (excluding Land & Building) (B+C)"**	**504.87**	435.03

The Company has an in house Research and Development center which is approved by Department of Scientific and Industrial Research (prescribed authority) with effect from 24th May 2017 as per approval letter dated 24th July 2017, reference number TU/IV-RD/4176/2017. The same recognition as an in-house Research and Development center is extended further till 31st March 2026, as per the letter from the prescribed authority dated 28th December 2023, reference number TU/IV-RD/4176/2023.

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

45 Corporate Social Responsibility (CSR)

SL. No.	Particulars	31 March 2024	31 March 2023
A	Gross Amount required to be spent by the Company during the year	1.78	0.25
B	Amount of expenditure incurred	1.80	0.30
C	Details related to CSR expenses spent during the year		
	a) Environment sustainability and protection of flora and fauna	0.45	0.10
	b) Promoting health care facilities for women, orphans, old day homes and day care centres	1.00	0.20
	c) Promoting education	0.35	-
	Total C	1.80	0.30
D	Amount of excess CSR expenditure available for set off in current financial year	-	-
E	Excess CSR expenditure to be carried forward under section 135(5) of the Companies Act	0.02	-

46 Share Capital (read with note no.3)

Particulars	All Figures are in INR	
	31 March 2024	31 March 2023
Authorised		
Equity Shares		
11,900 (Previous year 11 900) equity shares of ₹ 10 each	1,19,000	1,19,000
Total	1,19,000	1,19,000
Preference Shares		
5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	52,000	52,000
3,200 (Previous year: 3 200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	32,000	32,000
1,400 (Previous year: 1 400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	1,40,000	1,40,000
700 (Previous year. 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	70,000	70,000
770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	77,000	77,000

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Particulars	All Figures are in INR	
	31 March 2024	31 March 2023
800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**80,000**	80,000
3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**3,25,000**	3,25,000
1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**1,05,000**	1,05,000
Total	**8,81,000**	8,81,000
Grand Total	**10,00,000**	10,00,000
Issued, subscribed and paid-up		
Equity Shares		
11,212 (Previous year 11,077) equity shares of ₹ 10 each fully paid up	**1,12,120**	1,10,770
Total	**1,12,120**	1,10,770
Preference Shares		
5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up	**51,790**	51,790
3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up	**31,110**	31,110
1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up	**1,34,300**	1,34,300
648 (Previous year 648) 0.001% Series D CCPS of ₹ 100 each fully paid up	**64,800**	64,800
762 (Previous year 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up	**76,200**	76,200
797 (Previous year 797) 0.001% Series E CCPS of ₹ 100 each fully paid up	**79,700**	79,700
3,247 (Previous Year 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up	**3,24,700**	3,24,700
1,023 (Previous Year 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up	**1,02,300**	1,02,300

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SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

[illegible]	[illegible]	[illegible]
Total	**8,64,900**	8,64,900
Grand Total	**9,77,020**	9,75,670

47 Key Financial Ratios

S No.	Ratio	Numerator	Denominator	31 March 2024	31 March 2023	Change	% Of change
1	Current Ratio	Current Assets	Current Liabilities	**1.04**	0.99	0.05	5.41%
2	Debt – Equity Ratio	Debt consists of long term borrowings from banks (including current maturities) & investors and short term borrowings	Shareholder's Funds	**0.59**	0.62	-0.03	-5.11%
3	Debt Service Coverage Ratio	Earning for Debt Service = Profit/(Loss) for the year + Depreciation + Finance costs	Debt service = Interest on term loan from banks + Principal repayments	**2.12**	2.14	-0.01	-0.63%
4	Return on Equity (ROE)	Profit/(Loss) for the year	Average Shareholder's Funds	**19.21%**	9.13%	10.08%	110.40%
5	Trade receivables turnover ratio	Net Sales	Average trade receivables	**24.61**	26.68	-2.06	-7.68%
6	Trade payables turnover ratio	Purchases and other expenses	Average trade payables	**5.79**	6.30	-0.51	-8.10%

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Chartered Accountants

SEDEMAC MECHATRONICS LIMITED

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

S No.	Ratio	Numerator	Denominator	31 March 2024	31 March 2023	Change	% Of change
7	Net capital turnover ratio	Net Sales	Average working capital (i.e. Total current assets less Total current liabilities excluding short term borrowings)	**10.24**	7.59	2.66	35.02%
8	Net profit ratio	Profit /(Loss) for the year	Revenue from operations	**5.25%**	2.62%	2.62%	99.87%
9	Return on capital employed (ROCE)	Profit before tax and finance costs	Capital Employed = Tangible Net Worth (Shareholders Funds) + Total Debt - Deferred Tax Assets.	**17.77%**	10.83%	6.94%	64.04%
10	Return on Investment	Income generated from investments	Invested Funds	**6.32%**	5.89%	0.43%	7.30%
11	Inventory Turnover Ratio	Annualized Cost of goods sold	Average Inventory	**3.49**	3.35	0.14	4.16%

S No.	Ratio	Reason for variance
1	Return on Equity (ROE):	25% Growth in company's revenue from operations in current financial year and increase in net profit by 99.87%. ROE has increased.
2	Net capital turnover ratio	Due to 25% growth in company's revenue from operations in FY 23-24, the net capital turnover ratio and net profit ratio has improved.
3	Net profit ratio	
4	Return on capital employed (ROCE)	Due to increase in revenue from operations and net profit in FY 23-24, ROCE has increased

48 Other Statutory Information

a. The Company does not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property

b. The Company does not have any transactions with companies struck off

c. The Company does not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period

d. The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

Notes to financial statements for the year ended 31 March 2024 (Contd.)

(Amounts in INR Mn unless otherwise stated)

e. The Company has not advanced or loaned or invested funds to any other person(s) or entity(s), including foreign entities (Intermediaries) with the understanding that the Intermediary shall

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

ii) provide any guarantee security or the like to or on behalf of the Ultimate Beneficiaries

f. The Company has not received any fund from any person(s) or entity(s), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

ii) provide any guarantee security or the like on behalf of the Ultimate Beneficiaries.

g. The Company have no such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act 1961

h. The Company is not declared willful defaulter by any bank or financial institution or government or any government authority

i. Compliance with number of layer of companies as per Companies Act, 2013 - The Group has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017

j. The Company has not entered into any scheme of arrangement which has an accounting impact on current financial year

k. The Company has not revalued its Property, Plant and Equipment (including Right- of- Use Assets) or Intangible assets or both during the current financial year.

l. The Company has used the borrowings from financial institutions for the specific purpose for which it was taken at the balance sheet date.

m. The Company has been sanctioned working capital limits in excess of five crore rupees in aggregate, from banks or financial institutions on the basis of security of current assets, the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with books of accounts of company

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No. 122613
ICAI UDIN : 24122613BKDBRP8411
Place: Pune
Date: 04 September 2024

For and on behalf of the Board of Directors of
SEDEMAC MECHATRONICS LIMITED
(Formerly known as SEDEMAC Mechatronics Private Limited)
(CIN : U29539KH2007PLC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904
Place: Lisbon
Date: 04 September 2024

Amit Dixit
Director
DIN : 01288169
Place: Pune
Date: 04 September 2024